NOMURA

Global Markets Research

7 October 2026

National Silicon Industry Group 688126.SS 688126 CH

EQUITY: TECHNOLOGY

Time to revisit: uptrend just started

Wafer industry in upcycle, pricing and utilization improving; SOI wafer sole domestic beneficiary

Resume coverage of NSIG with Buy rating and target price of CNY36.20

We resume coverage on Nation Silicon Industry Group (NSIG) with a Buy rating. Our TP of CNY36.20 is based on a target multiple of 20.0x forward EV/sales (which is around 2SD above its historical average; the stock had traded at an average of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair) and our forecast of CNY6.7bn revenue in 2027F. We believe NSIG deserves a higher valuation given that: (1) we expect the company's sales growth rate to be higher than the industry average; (2) the company has wide product coverage spanning from 200mm to 300mm, and from wafer to SOI (silicon on insulator); and (3) China's memory and advanced process fab capacity expansion needs more domestic wafer supply to support production. Financially, we forecast NSIG to record a revenue CAGR of ~28% over 2025-28F, driven by strong growth in 300mm wafer and stable growth in 200mm. We expect gross loss to turn around from 2027F. We forecast the its net loss margin to continue narrowing with higher sales, but operating cash flow to remain positive after turning in 2Q26, as depreciation accounts for a large portion of its production cost and expense. Key risks to our TP include: price recovery failing to materialize, overcapacity concerns, prime-wafer qualification slips, and slowing demand.

China's silicon wafer supplier with the widest product coverage

NSIG is a dominant Chinese silicon wafer supplier, with a domestic market share of ~14% in 2025 and ranked no. 2, according to our estimates (after global leader Shin-Etsu [4063 JP, Neutral]). By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month. Besides, it has 300mm SOI capacity in pilot production. NISG's product offerings span from 200mm to 300mm, from test wafer to prime wafer, and from regular wafer to SOI. It is the only Chinese supplier with SOI capability, partnering closely with Soitec (SOI FP, Buy).

Wafer market in upcycle and NSIG's deep customer relations

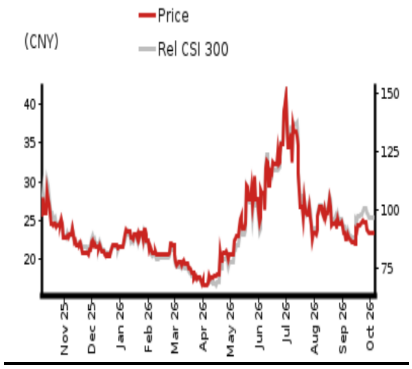
After years of downcycle and pricing pressure, the overall silicon wafer industry is now back on an uptrend, with stable pricing during 4Q25-1Q26 and slight improvement from 2Q26. Leading players are seeing an increase in pricing. Demand for wafer remains strong in fabs and memory makers, driven by strong AI. NSIG's capacity qualification is progressing well. Furthermore, its existing major customers include domestic foundries, memory makers and power IDMs, as well as leading overseas ones. Its Taiyuan facility also added 22 new customers and 42 new production-qualified products in 1H26, and a leading European IDM was qualified for 300mm prime wafers. Customer depth is one of NSIG's key moats, in our view.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,716	0	5,086	0	6,677	0	7,774
Reported net profit (mn)	-1,508	0	-1,656	0	-1,049	0	-796
Normalised net profit (mn)	-1,508	0	-1,656	0	-1,049	0	-796
FD normalised EPS	-53.90c		-49.41c		-31.29c		-23.76c
FD norm. EPS growth (%)	–		–		–		–
FD normalised P/E (x)	–	–	–	–	–	–	–
EV/EBITDA (x)	–	–	31.9	–	13.5	–	9.9
Price/book (x)	4.6	–	4.3	–	4.5	–	4.7
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	-10.3		-9.4		-6.0		-4.8
Net debt/equity (%)	19.0		31.3		52.8		62.9

Source: Company data, Nomura estimates

Rating Up from Neutral	**Buy**
Target price Increased from CNY 30.00	**CNY 36.20**
Closing price 30 September 2026	**CNY 23.38**
Implied upside	**+54.8%**
Market Cap (USD mn)	1,013.7
ADT (USD mn)	434.2

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on National Silicon Industry Group

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-5.3	-41.4	-9.4	M cap (USDmn)	1,013.7
Absolute (USD)	-5.1	-40.7	-3.7	Free float (%)	52.0
Rel to CSI 300	0.4	-28.9	-3.3	3-mth ADT (USDmn)	434.2

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,388	3,716	5,086	6,677	7,774
Cost of goods sold	-3,692	-4,350	-5,309	-6,144	-6,850
Gross profit	-304	-634	-223	533	924
SG&A	-659	-769	-1,115	-1,426	-1,615
Employee share expense					
Operating profit	-963	-1,403	-1,338	-892	-691
EBITDA	1	-71	504	1,395	2,007
Depreciation	-906	-1,282	-1,783	-2,217	-2,619
Amortisation	-58	-49	-59	-70	-79
EBIT	-963	-1,403	-1,338	-892	-691
Net interest expense	-110	-101	-320	-310	-300
Associates & JCEs	145	33	-15	10	20
Other income	-237	-418	-146	-45	20
Earnings before tax	-1,164	-1,889	-1,819	-1,237	-951
Income tax	43	79	73	124	95
Net profit after tax	-1,122	-1,810	-1,746	-1,114	-856
Minority interests	151	302	90	65	60
Other items					
Preferred dividends					
Normalised NPAT	-971	-1,508	-1,656	-1,049	-796
Extraordinary items					
Reported NPAT	-971	-1,508	-1,656	-1,049	-796
Dividends	-110	0	0	0	0
Transfer to reserves	-1,080	-1,508	-1,656	-1,049	-796
Valuations and ratios					
Reported P/E (x)	–	–	–	–	–
Normalised P/E (x)	-66.2	-43.4	-46.6	-73.6	-96.9
FD normalised P/E (x)	–	–	–	–	–
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	–	–	89.1	52.3	27.9
Price/book (x)	5.2	4.6	4.3	4.5	4.7
EV/EBITDA (x)	111.8	–	31.9	13.5	9.9
EV/EBIT (x)	–	–	–	–	–
Gross margin (%)	-9.0	-17.1	-4.4	8.0	11.9
EBITDA margin (%)	0.0	-1.9	9.9	20.9	25.8
EBIT margin (%)	-28.4	-37.7	-26.3	-13.4	-8.9
Net margin (%)	-28.6	-40.6	-32.6	-15.7	-10.2
Effective tax rate (%)	–	–	–	–	–
Dividend payout (%)	–	–	–	–	–
ROE (%)	-7.1	-10.3	-9.4	-6.0	-4.8
ROA (pretax %)	-7.4	-4.8	-4.2	-2.5	-1.8
Growth (%)					
Revenue	6.2	9.7	36.9	31.3	16.4
EBITDA	-99.9	-9,477.0	–	176.5	43.8
Normalised EPS	–	–	–	–	–
Normalised FDEPS	–	–	–	–	–

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1	-71	504	1,395	2,007
Change in working capital	-836	1,728	119	-100	549
Other operating cashflow	48	-2,216	256	203	250
Cashflow from operations	-788	-559	880	1,498	2,805
Capital expenditure	-5,069	-4,909	-4,897	-4,512	-3,702
Free cashflow	-5,857	-5,468	-4,017	-3,014	-897
Reduction in investments	930	133	-958	29	43
Net acquisitions	0	-324	15	-10	-20
Dec in other LT assets	81	541	128	246	565
Inc in other LT liabilities	9	-113	375	168	185
Adjustments	-67	-401	-554	-466	-804
CF after investing acts	-4,904	-5,633	-5,010	-3,047	-929
Cash dividends	-110	0	0	0	0
Equity issue	0	2,092	2,059	0	0
Debt issue	806	2,288	1,055	2,277	1,721
Convertible debt issue					
Others	1,728	2,106	1,696	-303	-293
CF from financial acts	2,424	6,485	4,809	1,974	1,428
Net cashflow	-2,480	852	-200	-1,073	499
Beginning cash	5,180	2,700	3,553	3,352	2,279
Ending cash	2,700	3,553	3,352	2,279	2,778
Ending net debt	2,614	3,218	5,673	9,024	10,246

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,700	3,553	3,352	2,279	2,778
Marketable securities	226	160	169	177	186
Accounts receivable	975	906	1,323	1,531	1,792
Inventories	1,542	1,966	2,165	2,549	2,669
Other current assets	3,627	3,759	3,519	3,281	2,852
Total current assets	9,070	10,344	10,527	9,816	10,277
LT investments	2,276	1,504	2,445	2,455	2,475
Fixed assets	9,245	14,069	17,168	19,611	21,174
Goodwill	789	419	419	419	419
Other intangible assets	555	656	807	898	970
Other LT assets	7,335	6,795	6,666	6,420	5,856
Total assets	29,270	33,787	38,032	39,619	41,170
Short-term debt	521	1,265	1,518	3,795	4,554
Accounts payable	474	557	752	763	964
Other current liabilities	2,808	4,940	5,240	5,483	5,784
Total current liabilities	3,803	6,763	7,510	10,042	11,302
Long-term debt	4,793	5,506	7,507	7,507	8,469
Convertible debt					
Other LT liabilities	1,472	1,359	1,734	1,903	2,088
Total liabilities	10,068	13,627	16,751	19,452	21,859
Minority interest	6,902	3,235	3,145	3,080	3,020
Preferred stock					
Common stock	2,747	3,305	3,305	3,305	3,305
Retained earnings	1,265	-242	-1,898	-2,947	-3,743
Proposed dividends					
Other equity and reserves	8,287	13,862	16,729	16,729	16,729
Total shareholders' equity	12,299	16,925	18,136	17,088	16,291
Total equity & liabilities	29,270	33,787	38,032	39,619	41,170
Liquidity (x)					
Current ratio	2.38	1.53	1.40	0.98	0.91
Interest cover	-8.8	-13.9	-4.2	-2.9	-2.3
Leverage					
Net debt/EBITDA (x)	3,449.22	–	11.25	6.47	5.11
Net debt/equity (%)	21.2	19.0	31.3	52.8	62.9
Per share					
Reported EPS (CNY)	-35.30c	-53.90c	-50.15c	-31.75c	-24.12c
Norm EPS (CNY)	-35.30c	-53.90c	-50.15c	-31.75c	-24.12c
FD norm EPS (CNY)	-35.30c	-53.90c	-49.41c	-31.29c	-23.76c
BVPS (CNY)	4.48	5.12	5.49	5.17	4.93
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	83.1	92.4	80.0	78.0	78.2
Days inventory	147.8	147.2	142.0	140.0	139.4
Days payable	39.3	43.3	45.0	45.0	46.1
Cash cycle	191.7	196.3	177.0	173.0	171.5

Source: Company data, Nomura estimates

Company profile

National Silicon Industry Group (688126 CH; "NSIG" for short), founded in 2015, is a publicly listed Chinese semiconductor company headquartered in Shanghai. The company engages in the development and sale of semiconductor wafers. It is the largest domestic producer of semiconductor wafers in China. In 2016, NSIG acquired Finnish company, Okmetic. In the same year, NSIG acquired a 14.5% stake in French company, Soitec. On 20 April 2022, NSIG held its initial public offering becoming a listed company on the Shanghai Stock Exchange STAR Market. The offering raised USD341mn.

Valuation Methodology

Our target price of CNY36.20 is based on 20.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The target multiple is around 2SD above its historical average; the stock had traded at an avg. of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair. The reason for choosing EV/Sales include: (1) Chinese semi wafer vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referrable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) price recovery fails to materialize; (2) demand weaker-than-expected from AI spending concerns; (3) slower-than-expected qualification and capacity ramp up; (4) intensified competition from domestic peers, especially for mid-to-low-end products; (5) geopolitical uncertainties impact its overseas sales and customer relations.

ESG

Environmental. Semiconductor wafer manufacturing is energy- and water-intensive by nature: crystal pulling runs continuously at high temperature, and polishing and cleaning consume large volumes of ultrapure water. NSIG's newest capacity (Taiyuan in particular) has been built to current standards, which is a genuine advantage over retrofitted legacy lines, and the group's 2025 annual report describes energy-consumption and emissions management as part of standard operations. The company does not yet publish a standalone ESG report with quantified Scope 1-3 emissions or time-bound reduction targets, which places it behind global peers: Siltronic and SUMCO both publish detailed decarbonisation roadmaps with 2030 and 2045-2050 milestones, and Siltronic reports a high recycled-water share. For investors applying an ESG screen, this is a disclosure gap rather than a proven performance gap, but it is a gap. Social. NSIG employed approximately 3,640 people at end-2025, up 19.6% year on year, and research headcount and R&D spending both rose sharply through the downturn (R&D up 32.6% in 2025 and 66.5% in 1H26). The company runs industry-academia collaborations with leading Chinese universities on crystal growth, polishing and SOI, and reports no material safety incidents. It has not published quantified safety, diversity or turnover KPIs. Governance. NSIG is a STAR Market listing with standard board committee structures and, unusually for a Chinese materials company, a genuinely international board-level exposure through the Okmetic business. The positive governance read is strategic consistency: management has maintained a single strategy through three years of deteriorating financials, backed by state shareholders willing to fund at the trough. The negative read is dilution: the repeated equity issuance and the 2025 minority buyout, while strategically sensible, have transferred value from public shareholders to the state bloc at low share prices. Related-party transactions with Shanghai Guosheng and with state-affiliated customers and suppliers warrant ongoing monitoring. Net assessment. NSIG's strongest ESG attribute is strategic: it is building capacity that Chinese semiconductor self-sufficiency requires, and its Okmetic subsidiary gives it a European manufacturing and compliance footprint. Its weakest attribute is disclosure — no standalone ESG report, no quantified emissions or safety targets. We expect improvement as the company approaches profitability and as institutional ownership broadens.

Investment summary

National Silicon Industry Group (688126 CH, “NSIG” for short; 沪硅产业 in Chinese) was founded in 2015, with a target to improve domestic semiconductor wafer industry capability. It was listed on the STAR Market on 20 April 2020. By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month.

The group now spans six operating entities: (1) Shanghai Zing (上海新昇; 300mm polished and epitaxial wafers); (2) Jinke Silicon Materials in Taiyuan (太原晋科; the second 300mm base), (3) Shanghai Simgui (新傲科技; 200mm epitaxial and SOI wafers); (4) Okmetic (its acquired Finland subsidiary; specialty 200mm/150mm/100mm wafers); (5) Simgui Xinyi (新傲芯翼; 300mm SOI pilot); and (6) Xinju Polymer (新硅聚合; monocrystalline piezoelectric thin-film substrates).

We believe it is time to revisit NSIG, and we are positive on its sales growth and margin recovery. Our view is mainly based on the following:

- **The overall wafer industry is back to an uptrend**: As we discussed earlier, after years of downcycle and pricing pressure, the overall silicon wafer industry is now back on an uptrend, with pricing stable during 4Q25-1Q26 and slightly improved from 2Q26. Leader players are seeing pricing increasing and low-price LTA near end (renegotiation also benefit pricing). Demand for wafer remains strong among fabs and memory makers, driven by strong AI infrastructure build-out.
- **One of the largest in scale in China:** The company has already built a sizeable capacity. Its 300mm capacity reached 100kwpm by end-1H26 across Shanghai and Taiyuan, and target to reach 120kwpm by end-2026E, with further upside potential. Besides, with the capex already incurred, we expect incremental capex intensity to reduce now.
- **SOI capability:** NSIG is now the only Chinese vendor that can supply SOI wafers, with 200mm in volume production, and 300mm in pilot production. Through its close relationship with Soitec (SOI FP, Buy), it has licensed the latter’s leading SOI technology “Smart Cut”. We think SOI will be soon be driven by an increase in silicon photonics demand, resulting in a higher-than-overall-market growth rate. And, NSIG may be the only beneficiary among Chinese vendors, in our view.
- **Capacity qualification is progressing well, with loading improving:** NSIG’s Taiyuan facility added 22 new customers and 42 new production-qualified products in 1H26 alone, and a leading European IDM was qualified for 300mm prime wafers. Prime wafer sales are rising, driving up the blended ASP (prime wafers usually have higher prices than test wafers).
- **Margin recovery amid upcycle:** Its gross margin has recovered q-q in the past two quarters, from -22.9% in 4Q25 to -5.3% in 2Q26. With pricing improving and product mix shifting towards 300mm (higher ASP), we expect its margins to continue improving.
- **Cash flow has turned, indicating a signal for profit turn:** NSIG’s operating cash flow swung from a negative CNY462mn in 1H25 to positive CNY179mn in 1H26, helped by higher sales. Although we expect a loss at the net level, we model positive operating cash flows in 2026-28F as depreciation acccounts for a large portion of its cost and expense.

Financially, we forecast NSIG to record a revenue CAGR of ~28% in 2025-28F driven by strong growth in 300mm wafer and stable growth in 200mm. We expect gross loss to turn around from 2027F. We forecast its net loss margin to continue narrowing with an increase in sales.

We resume coverage on NSIG with a **Buy** rating. Our target price of **CNY36.20** is based on a target multiple of **20.0x forward EV/sales**, and our forecast of CNY6.7bn in revenue in 2027F. NSIG has been trading at a premium to local peers because of its strong technology capabilities, wide product coverage, and deep customer relations. We believe this valuation premium will continue over the next few years as the positives remain.

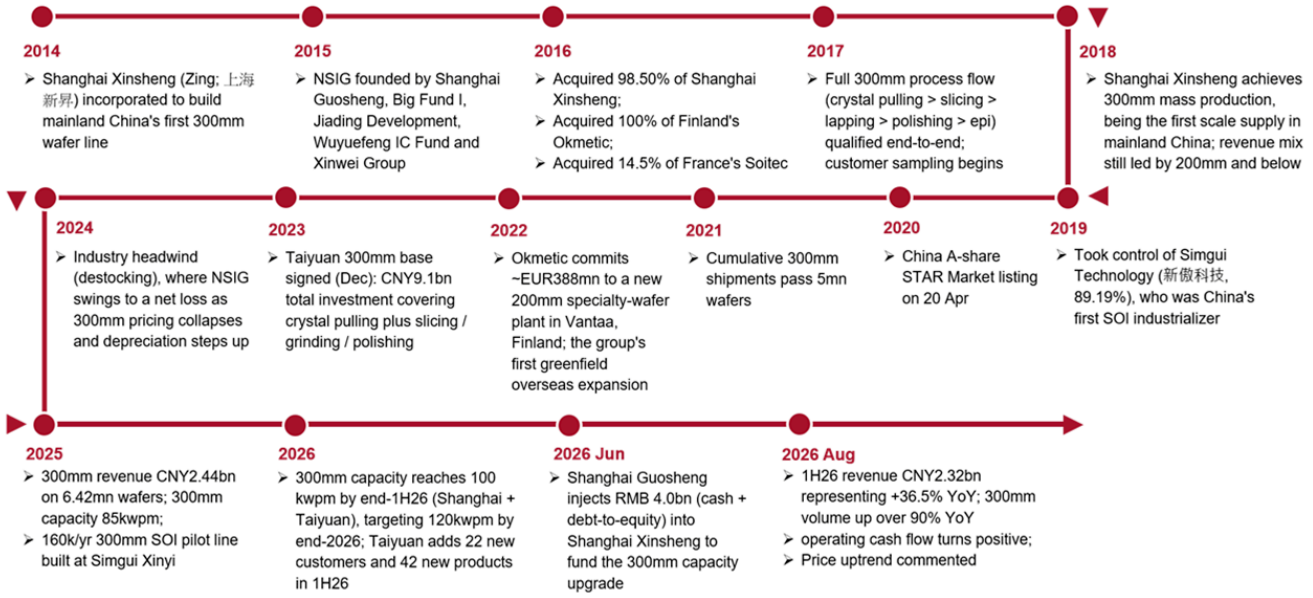
Company overview: prominent semiconductor wafer player in China

Company history and shareholding structure

National Silicon Industry Group was founded in 2015, with a target to improve domestic semiconductor wafer industry capability. It was listed on the STAR Market on 20 April 2020 with ticker of 688126 CH. By end-1H26, NSIG had total 300mm wafer capacity of 1mn per month, 200mm wafer capacity (polished and epitaxial) of 500k per month, and 200mm SOI wafer capacity of 65k per month.

The group now spans six operating entities: (1) Shanghai Zing (上海新昇; 300mm polished and epitaxial wafers); (2) Jinke Silicon Materials in Taiyuan (太原晋科; the second 300mm base), (3) Shanghai Simgui (新傲科技; 200mm epitaxial and SOI wafers); (4) Okmetic (its acquired Finland subsidiary; specialty 200mm/150mm/100mm wafers); (5) Simgui Xinyi (新傲芯翼; 300mm SOI pilot); and (6) Xinju Polymer (新硅聚合; monocrystalline piezoelectric thin-film substrates).

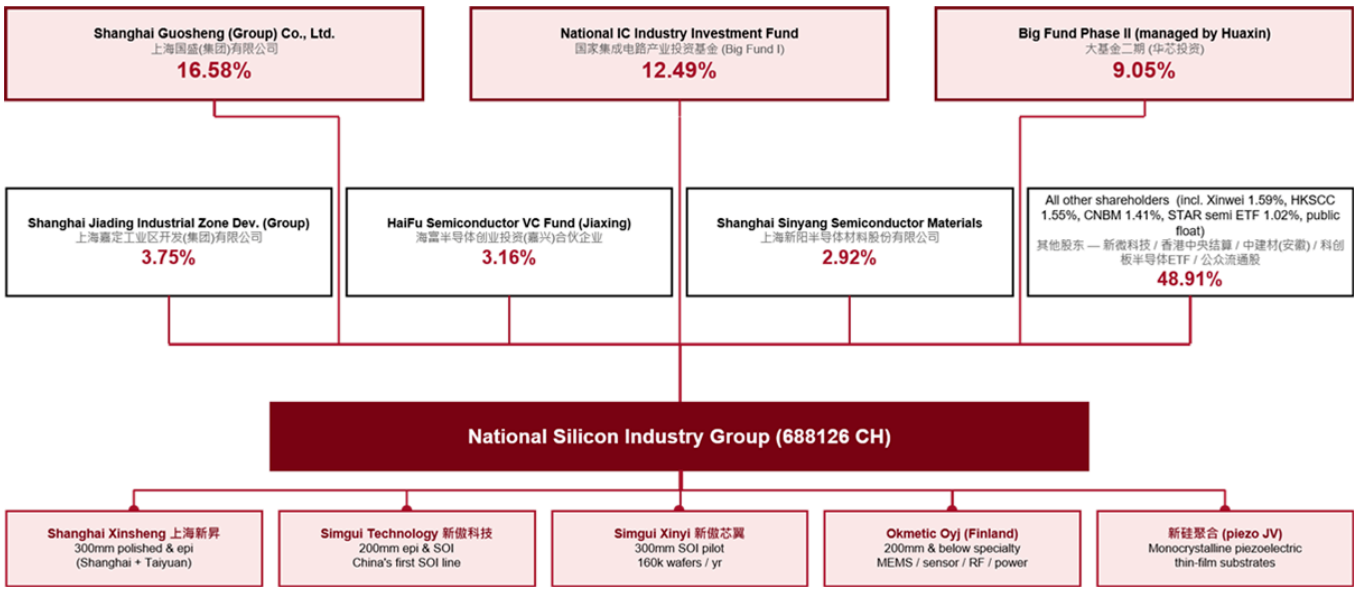
Fig. 1: NSIG corporate history



Source: Company data, Nomura research

NSIG's shareholding is dominated by Shanghai-state vehicles (Shanghai Guosheng Group and its affiliates) and by the National IC Investment Fund.

Fig. 2: NSIG shareholding structure as of Jun-26



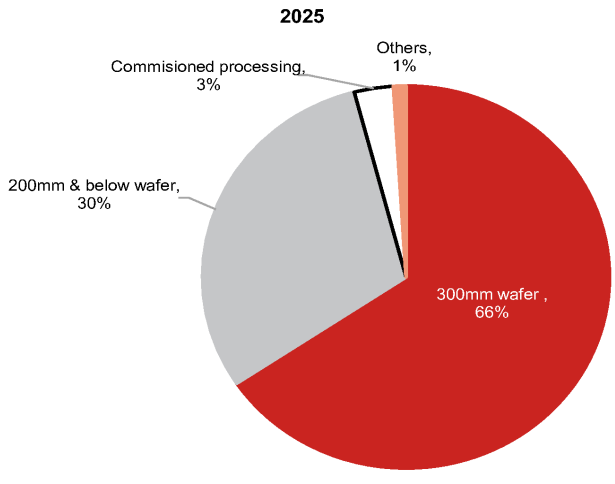
Source: Company data, Nomura research

Business segments and product portfolio

NSIG is one of a few wafer makers globally that can supply polished, epitaxial and SOI products across 300mm, 200mm and 150mm. Considering that a fab qualifying a new wafer supplier prefers a single partner across multiple product lines, and qualification is the industry's most expensive switching cost, we view NSIG's broad portfolio as an important competitive advantage.

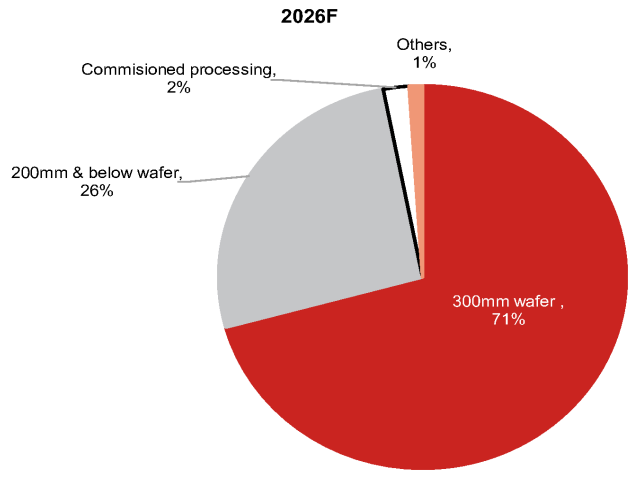
NSIG reported revenue mainly in three main segments: (1) 300mm wafers, which include revenue from the Shanghai Zing and Taiyuan Jinke; (2) 200mm & below wafers, which consists of revenue from Shanghai Simgui and Okmetic, including polished wafers, epitaxial wafers, and SOI wafer; and (3) commissioned processing, which is the net revenue from SOI processing for Soitec.

Fig. 3: NSIG revenue split by segment



Source: Company data, Nomura estimates

Fig. 4: NSIG revenue split by segment



Source: Company data, Nomura estimates

300mm is the major growth engine: 300mm wafers are also called 12-inch wafers, widely used in advanced logic, memory, and high-end power & analog. In 2025, NSIG shipped 6.42mn 300mm wafers, up 27.0% y-y, generating CNY2,439mn of revenue, up 15.8%. Volume was up 27% y-y in 2025, indicating that price down roughly 9%. During 2025, the company developed more than 160 new product specifications and brought nearly 60 of them into mass production, and 300mm products now cover logic, memory, CIS and power. Its ongoing development specifically targets the segments with the

strongest pricing: ultra-low-resistivity 300mm for high-power and EV traction, high-specification logic 300mm for AI datacenter, 300mm dToF for automotive LiDAR and robotics, and 300mm SOI for RF and silicon photonics.

200mm in stable status: The 200mm & below segment generated CNY1,125mn of revenue in 2025, up 7.5% y-y, with combined polished and epi capacity of more than 500kwpm. Products cater to the power, analog, MCU and sensor customers that are structurally less cyclical.

We expect SOI and new materials to provide future upside: The 300mm SOI pilot line at Simgui Xinyi now has a capacity of roughly 300k wafers per year by end-1H26, with high-voltage and silicon-photonics products in small-batch production. NSIG has held roughly 14.5% of Soitec since 2016, giving it a technology partner rather than a competitor. Furthermore, Xinju Polymer's monocrystalline piezoelectric thin-film substrate line was completed on schedule, which is an early but genuinely new materials business.

Fig. 5: NSIG product offerings and key applications (shaded ones are newly ramping up products)

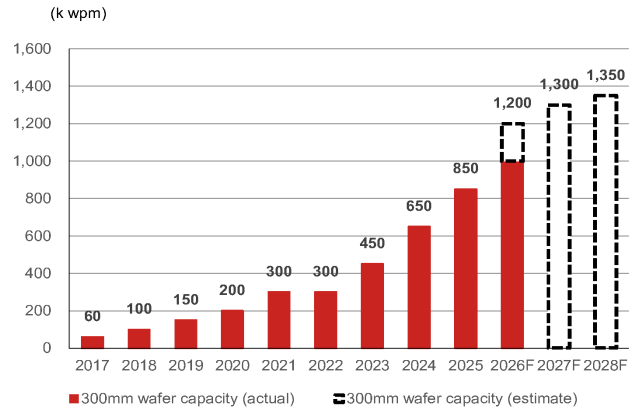
Product Category	Product / Platform	Wafer Size	Device / Application Types	Process Node / Coverage	Key Applications & 2025-26 Status
300mm Polished Wafers	300mm polished wafer; for logic / memory grade	300mm (12")	Logic (CPU / GPU / SoC); Memory (DRAM, 3D NAND); CIS	65nm to 28nm in volume; 20-14nm qualified under the national 02 programme; 14nm and below in customer verification	Full logic-process and memory-process coverage and full coverage of China's major customers; 6.42mn wafers shipped in 2025 (+27% YoY); 1H26 volume up more than 90% YoY
	300mm ultra-low-resistivity wafer (high-power)	300mm	Power (IGBT / MOSFET modules); automotive	Specialty (heavily doped)	Key 2025-26 development targeting high-power AI datacenter and EV traction applications; fills a domestic special-specification gap
	300mm high-specification logic wafer (high-compute)	300mm	AI / HPC logic; datacentre	Advanced logic (14nm and below in verification)	Key development programme for AI datacenter demand; the spec set most exposed to the 2026-27 global price recovery
	300mm dToF wafer (LiDAR / physical AI)	300mm	Automotive LiDAR; robotics; physical AI	Specialty	Key development programme; also targeted at AI datacentre optical sensing
	Taiyuan (Jinke Silicon) 300mm output	300mm	Logic; Memory; Power; CIS	28nm and above ramping	22 new customers and 42 new production-qualified products added in 1H26; prime-wafer batch sales started 2025
300mm Epitaxial Wafers	300mm epi wafer; for logic / memory	300mm	Logic; Memory; Power; CIS	28nm and above in volume	Deposited on in-house polished substrates; epi carries a 20-30% price premium over polished and is the first beneficiary of the 2026-27 price recovery
300mm SOI	300mm SOI pilot line (Simgui Xinyi)	300mm	RF-SOI (front-end modules); high-voltage power; silicon photonics	SOI (device-layer dependent)	~300k wafers/year pilot line built; high-voltage and silicon-photonics products in small-batch production; 2025-26 focus is volume landing and market validation
200mm & below Polished / Epi	200mm polished & epi wafer (Simgui + Okmetic)	200mm (8")	Power; analog; MCU; image sensor; automotive	0.35um to 90nm equivalent	>500k wafers/month combined polished + epi capacity across the group; 1H26 volume +16% YoY
	150mm and below polished & epi wafer	<150mm	Power discrete; sensor; specialty	Legacy	Legacy cash-generative lines; steadily being de-emphasised in favour of 300mm
200mm & below SOI	200mm SOI wafer (Simgui)	200mm / 150mm	RF-SOI; FD-SOI; power; MEMS	SOI	~65k wafers/month group SOI capacity; four SOI technologies mastered (SIMOX, Bonding, Simbond, Soitec-licensed Smart Cut)
	Okmetic 200mm specialty wafer (Vantaa new plant)	200mm / 150mm / 100mm	MEMS; sensors; RF filters (BAW/SAW); power; automotive	Specialty / custom	~EUR388mn new Vantaa plant; trial line-through from 2Q25; custom, high-value, small-lot model that differentiates from the big-five commodity wafer suppliers
Specialty Materials	Monocrystalline piezoelectric thin-film substrates (Xinju)	150mm / 200mm	RF filters; acoustic devices; optical; MEMS	N/A	Revenue more than doubled in 2025; part of the group's second curve

Source: Company data, Nomura research

Capacity: 300mm to see further expansion

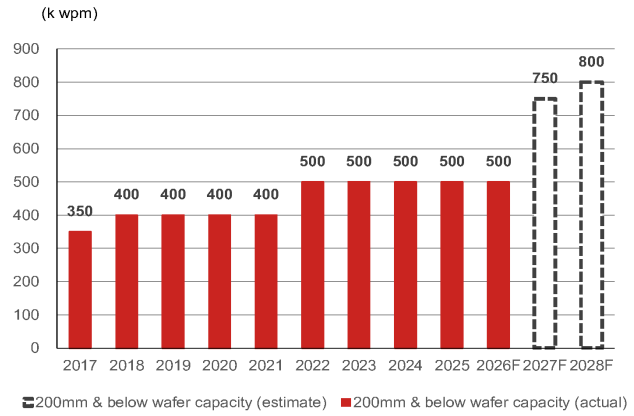
By end-1H26, NSIG had a total installed capacity of 1mn wafers per month across its Shanghai and Taiyuan bases (vs 850k wafers per month by end-2025), and it targets a capacity of 1.2mn by end-2027E. Excluding some trial lines and R&D lines, we estimate the 300mm utilization rate exceeded 90% in 1H26 (vs high-80% in 2025). For 200mm & below, NSIG has around 500k wafers per month of capacity in Simgui, including polished and epitaxial wafers, and another 65k wafers per month of capacity for 200mm SOI. Besides, the company also has some trial line capacity for 300mm SOI wafers of around 300k wafers annually (~25kwpm) in Simgui Xinyi.

Fig. 6: NSIG 300mm wafer monthly capacity



Source: Company data, Nomura estimates

Fig. 7: NSIG 200mm wafer monthly capacity



Source: Company data, Nomura estimates

Customer base covering major domestic overseas fabs

NSIG's customer list is strong, with major domestic customers including SMIC (981 HK, Neutral), HuaHong Group (Hua Hong Grace [1347 HK, Neutral] and HLMC [unlisted]), YMTC (unlisted), CXMY (688825 CH, Buy), CR Micro (688396 CH, Not rated), etc., and major overseas customers including TSMC (2330 TT, Buy), UMC (2303 TT, Buy), STMicroelectronics (STMPA FP, Not rated) and Vishay (VSH US, Not rated). NSIG is among the largest suppliers to YMTC's 300mm lightly-doped wafer supply.

NSIG's customer concentration is relatively less, with the largest customer accounting for 13%/11% of revenue in 2024/25, and the top-five customers accounting for 40%/36% of total revenue in 2024/25. By our estimate, memory customers contribute the largest volume share of around 60-65%, mostly polished wafers; logic customers roughly contribute 30-35% of volume, but with the most number of customers, mainly for epitaxial wafers; power & analog IDMs contributed around ~5% of total volume.

Fig. 8: NSIG's key customers

Group	Customer	Segment	Relationship / Status	Key Detail
Domestic major customers	SMIC	Logic foundry	Anchor domestic customer; multi-year supply relationship since the qualification of Xinsheng's 300mm line	Mainland China's largest foundry and the single largest pull on domestic 300mm wafer demand; NSIG supplies polished and epi wafers across 28nm-and-above mature and specialty nodes
	YMTC	NAND memory	Largest share position of any domestic wafer maker; qualified across multiple 3D NAND generations	Very large supply share of YMTC's 300mm lightly-doped wafer; 3D NAND is the most layer-intensive consumer of polished wafers
	CXMT	DRAM memory	Qualified supplier across DDR4/DDR5 generations	DRAM capacity is the single largest incremental driver of mainland 300mm demand to 2030E
	Hua Hong Grace	Specialty foundry (power, MCU, CIS, eNVM)	Long-standing 200mm and 300mm customer	Second-largest mainland foundry; heavily weighted to 200mm
	HLMC	Logic foundry	Domestic foundry customer; 300mm	Part of the Shanghai-state foundry complex and a direct beneficiary of the localization push
	CR Micro	IDM: power discrete, analog, MEMS	Domestic IDM customer; heavily 200mm-weighted	Power and analog exposure makes it a stable, less cyclical outlet for NSIG's 200mm-and-below lines
	Nexchip	Foundry: CIS, DDIC, logic	Domestic foundry customer; 300mm and 200mm	One of the fastest-expanding mainland 300mm foundries; CIS and display-driver demand complements NSIG's CIS-grade 300mm development programme
	Silan Micro	IDM: power discrete, analog, IPM	Domestic IDM customer; 200mm-weighted	Power and analog IDM with its own 300mm expansion; a natural customer for NSIG's ultra-low-resistivity 300mm development program
Overseas major customers	UMC	Mature-node specialty foundry	Qualified international customer; 200mm and 300mm	Mature-node specialist whose demand profile maps well onto NSIG's current 28nm-and-above segment
	TSMC	Leading-edge logic foundry	Qualified international tier-1 customer	On TSMC's qualified list; proof of capability
	STMicroelectronics	IDM: power, automotive, MCU, sensors	Qualified international IDM; supplied through both NSIG and Okmetic channels	European IDM relationships are the strategic rationale for the Okmetic (Finland) acquisition
	Vishay Intertechnology	IDM: discrete, power, analog	Qualified international IDM	Typical of the long-tail specialty IDM base that Okmetic serves and that carries structurally higher gross margin than commodity 300mm
	An European leading IDM (new, 1H26)	IDM: automotive / power (undisclosed)	NEW in 1H26: qualified as an approved supplier and secured 300mm prime-wafer orders	Flagged in the 2026 half-year report as a 300mm prime-wafer breakthrough: the most important single customer event in 1H26 because prime wafers carry far higher ASP and margin than test wafers
Emerging customers	Taiyuan new customers (22 added in 1H26)	Mixed	NEW: 22 customers and 42 production-qualified new products added at Taiyuan in 1H26 alone	Indicating capacity is being absorbed
	Okmetic long-tail specialty customer base (Finland)	Sensor, MEMS, analog, RF, power IDMs (Europe / US)	Serves high-mix, low-volume specialty niches	Key overseas sales channel

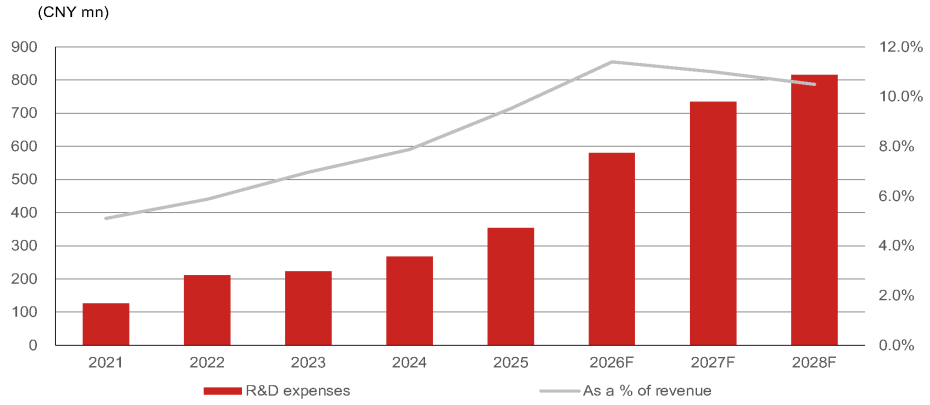
Source: Company data, Nomura research

R&D spending was CNY354mn in 2025, up 32.6% y-y, equal to 9.5% of revenue; CNY259mn in 1H26, up 66.5%, equal to 11.2% of revenue. As a technology and capital-intensive company, R&D is important for its development and future upside. Cumulative

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granted patents reached 1,014 (697 invention) at 1H26, up from 957 at end-2025. The company's stated priorities are 300mm SOI for RF, silicon photonics and high-voltage applications, plus crystal growth, slicing, grinding, polishing and epitaxy.

Fig. 9: NSIG: R&D expenses



Source: Company data, Nomura estimates

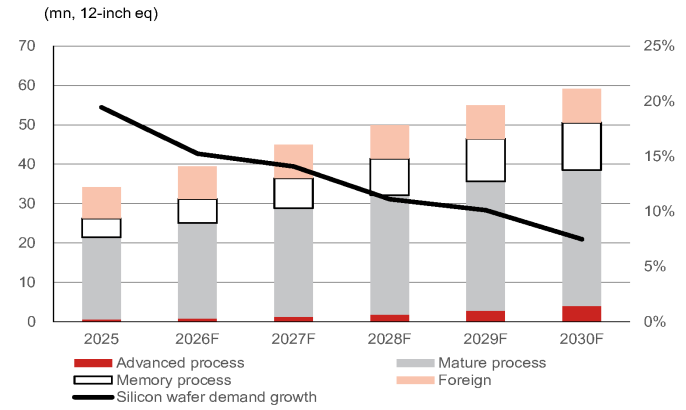
Competitive advantages and growth drivers

As a prominent semiconductor silicon wafer supplier in China, NSIG is now riding on the industry uptrend with sales growth and market share expansion opportunities. In our view, NSIG has the following unique advantages: (1) dominant domestic market share and technology capability; (2) industry upcycle has started and expected to last for years; (3) NSIG is one of the few internationalized Chinese wafer suppliers; and (4) technology partnership with Soitec (SOI FP, Buy).

One of the strong players in China with sizeable market share

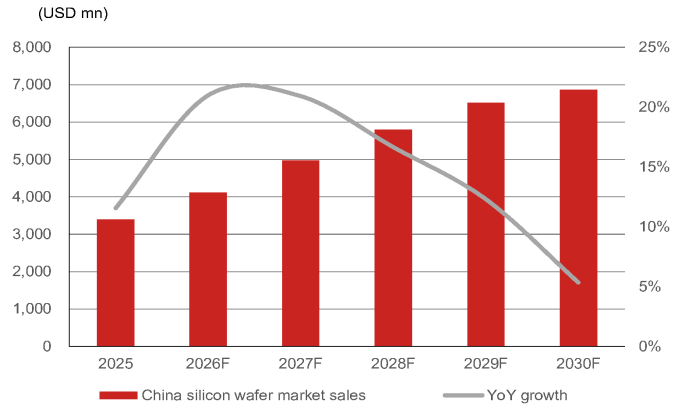
By our estimate, the overall semiconductor silicon wafer demand is expected to grow 21% in 2026F to USD4.1bn (from USD3.4bn in 2025), and maintain growth till 2030F with a CAGR of ~15% in 2025-2030F. However, despite a sizeable amount of capacity installed base in China, we estimate the overall utilization rate to be lower than 50%, mainly due to the following: (1) production line qualification requires time; (2) some high-end categories require additional time and adjustments; and (3) diverse supply-demand situation, where low-end products are in oversupply, and high-end products are in severe shortage. By our estimate, from a volume perspective, domestic suppliers are expected to supply around ~51% of total China silicon wafer demand (vs ~49% in 2025), and this ratio is expected to increase to ~62% with more capacity qualified and ramping up.

Fig. 10: China semiconductor silicon wafer demand volume



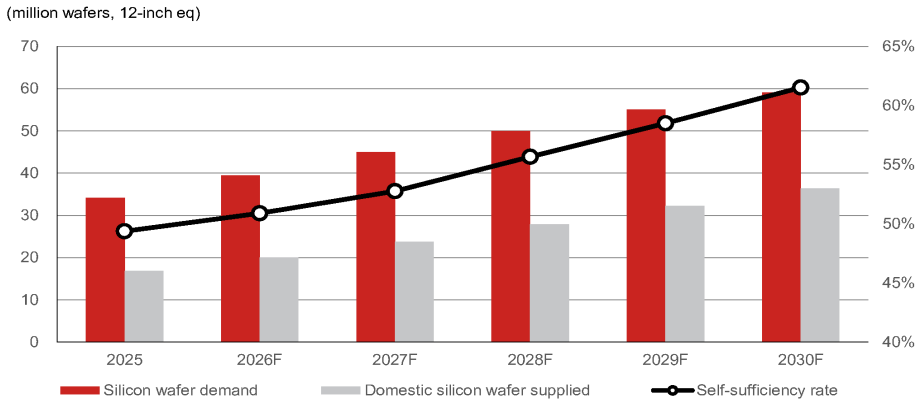
Source: Nomura estimates

Fig. 11: China semiconductor silicon wafer market size



Source: Nomura estimates

Fig. 12: China semiconductor silicon wafer supply and self-sufficiency rate

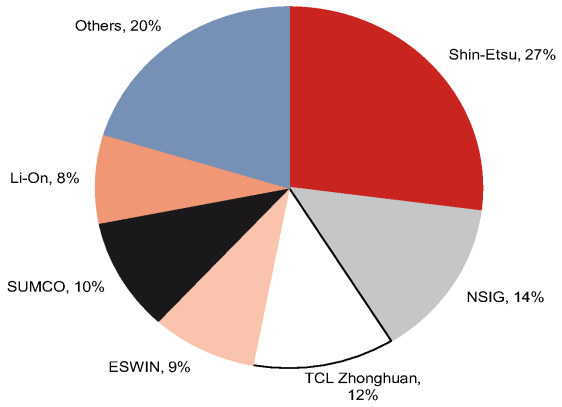


Source: Nomura estimates

Shin-Etsu, the global leader in semiconductor silicon wafer supply, is also taking up the largest market share in China, with a ~25% share in 2025 (see fig. 14 below). NSIG is the largest domestic supplier, with a market share of ~14% in 2025, followed by another two Chinese players TCL Zhonghuan (~13%; 002129 CH, Neutral) and ESWIN (~10%; 688783 CH, Not rated). Li-On (605358 CH, Not rated) ranked no.6 with a market share of

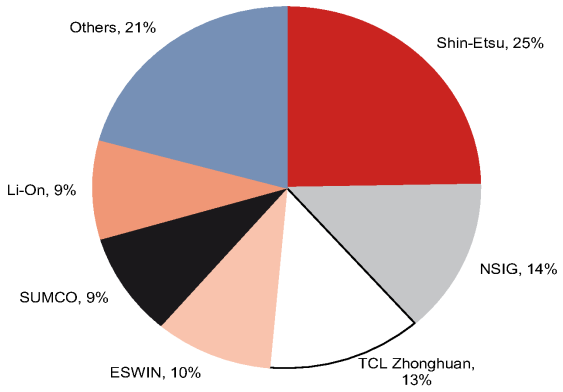
~9%.

Fig. 13: China silicon wafer market share estimate (2024)



Source: Company data, Nomura estimates

Fig. 14: China silicon wafer market share estimate (2025)



Source: Company data, Nomura estimates

Broad coverage spanning from 200mm to 300mm; and from polished wafer to SOI

NSIG has been closing the gap with the global leaders. On product coverage, it is now the most diversified Chinese wafer maker, running the only domestic 300mm SOI pilot line (scaled to ~300k wafers/yr capacity in 1H26 from ~160k at end-2025), and deploying 150mm piezoelectric-on-insulator substrates into production and delivery. These two specialty platforms are led by Soitec, who is also a partner of NSIG. That being said, NSIG is still behind Shin-Etsu, SUMCO and GlobalWafers in terms of node depth and customer quality. Japanese leaders are qualified into 2nm/3nm-class GAA (gate-all-around) production with full long-term agreements with TSMC (2330 TT, Buy), Samsung (005930 KS, Buy), Micron (MU, Not rated), SK Hynix (000660 KS, Buy) and Kioxia (285A JP, Buy), whereas NSIG is in mass production at 14nm.

Among domestic peers, NSIG is strong in terms of coverage broadness and process node qualification. Xi'an ESWIN Material (688783 CH, Not rated) is another strong domestic player with 8mn 300mm wafers shipped in 2025, 168 verified customers, and 121 qualified prime products, with volume supply into TSMC, Micron, Kioxia, GlobalFoundries (GFS US, Not rated), PSMC (6770 TT, Not rated), UMC, Winbond (2344 TT, Not rated) and Nanya (2408 TT, Not rated), plus first test-wafer shipments to Samsung and Toshiba (6588 JP, Neutral). But ESWIN is a 12-inch pure play with no SOI and no sub-200mm capacity. TCL Zhonghuan (002129 CH, Neutral) is a full-size (4 inch to 12 inch) domestic supplier, owns the zone-refined FZ high-resistivity (~80% domestic share) for IGBT and automotive; however, its ~700k wpm of 300mm falls behind NSIG and ESWIN, and group PV losses constrain capex. Li-On Micro (605358 CH, Not rated) is the smallest at 12-inch (300kwpm polished plus 150kwpm epi) but is the differentiated specialist, with heavy-doped/low-resistivity crystal and epi, and also the first domestic AEC-Q100 automotive-grade 300mm supplier for BYD (1211 HK, Buy) and NIO (NIO US, Buy).

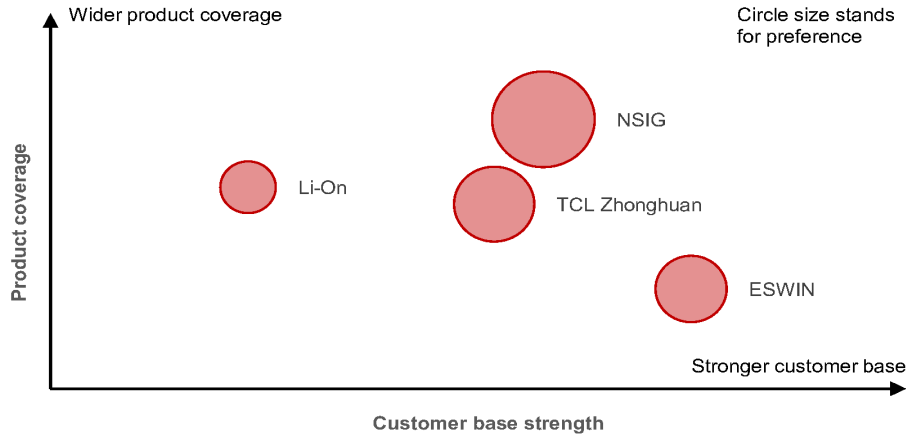
Fig. 15: Product coverage and capability comparison

Dimension	Shin-Etsu	SUMCO	GlobalWafers	NSIG	Xi'an ESWIN	TCL Zhonghuan	Li-On
Crystal growth & defect engineering							
300mm CZ single crystal, volume production	MASS	MASS	MASS	MASS	MASS	MASS	MASS
300mm MCZ / magnetic-field CZ (low oxygen, high resistivity)	MASS	MASS	MASS	MASS	N/A	N/A	N/A
Heavy-doped (low-resistivity) crystal	MASS	MASS	MASS	N/A	N/A	MASS	MASS
Zone-refined (FZ) ultra-high resistivity	MASS	NO	MASS	NO	N/A	MASS	N/A
COP-free / denuded-zone control at <=28nm nodes	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Low-defect 300mm qualified for GAA / 2-3nm class	MASS	MASS	N/A	N/A	N/A	N/A	N/A
Wafering, polishing & cleaning							
300mm polished wafer (PW), volume production	MASS	MASS	MASS	MASS	MASS	MASS	MASS
Double-side polishing (DSP) / ultra-high flatness 300mm	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Advanced cleaning; surface particle control at <=26nm	MASS	MASS	MASS	QUALIFIED	QUALIFIED	QUALIFIED	QUALIFIED
Edge geometry / edge-placement control for EUV multi-patterning	MASS	MASS	QUALIFIED	N/A	N/A	N/A	N/A
Value-added layers & specialty substrates							
300mm epitaxy (epi)	MASS	MASS	MASS	MASS	MASS	MASS	MASS
<=200mm epitaxy	MASS	MASS	MASS	MASS	NO	MASS	MASS
Annealed / hydrogen-annealed wafers	MASS	MASS	MASS	QUALIFIED	QUALIFIED	MASS	QUALIFIED
200mm SOI (bonded / Smart Cut)	MASS	QUALIFIED	EXITING by Jun-27	MASS	NO	NO	NO
300mm SOI	MASS	NO	EXITING by Jun-27	PILOT	NO	NO	NO
Piezoelectric-on-insulator (POI) / special substrates	N/A	N/A	N/A	MASS (150mm)	NO	NO	NO
Test / dummy / reclaimed wafers	MASS	MASS	MASS	MASS	MASS	MASS	MASS
Node qualification (mass production)							
>=28nm	MASS	MASS	MASS	MASS	MASS	MASS	MASS
14nm	MASS	MASS	MASS	MASS	N/A	QUALIFIED	MASS
7nm	MASS	MASS	MASS	N/A	N/A	N/A	N/A
5nm / 4nm	MASS	MASS	QUALIFIED	N/A	N/A	N/A	N/A
3nm / 2nm class	MASS	MASS	N/A	N/A	N/A	N/A	N/A

Source: Company data, Nomura research

In summary, NSIG wins on portfolio breadth and full-chain control; ESWIN is good at customer depth and scale, TCL Zhonghuan is good at FZ capability, and Li-On wins on specialty and auto.

Fig. 16: Comparison of major domestic silicon wafer vendors



Source: Nomura estimates

SOI wafer capacity a key advantage: NSIG the only potential supplier in China

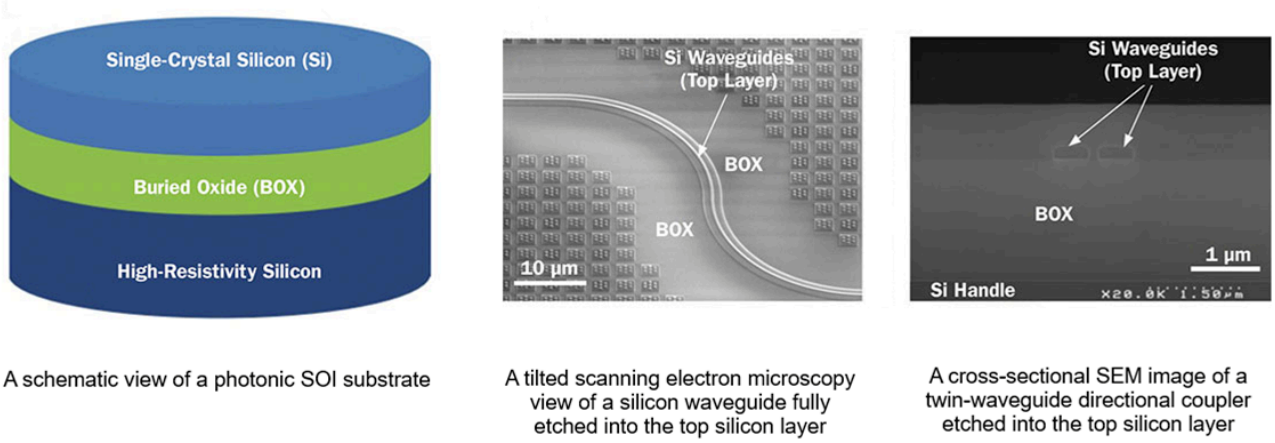
Driven by global AI leaders' buoyant demand for high-speed optical transceivers, as well as persistent component shortages (such as optical chips), we believe the component shortage for most products will continue into 2027F. Meanwhile, product innovation in the optical transceiver market is accelerating, and future technology trends including silicon photonics (SiPh), LPO/LRO, and NPO/CPO primarily target higher performance, lower energy consumption and costs. The 1.6T upgrade and SiPh migration are expected to be the key drivers, in our view. We think NPO/CPO technologies will continue to improve. If leading CPO solution providers use bundled sales strategies for their CPO switch products, which could accelerate adoption rates in scale out network in the medium term, while we believe there are more CPO use cases in the scale-up network in the long term.

Photonics SOI wafer is becoming an increasingly important material to build SiPh-based PIC, due to its scalability in most of the major foundries with lower cost per die. For example, under the same area size, photonics SOI wafer price is only 25% of InP substrate. Thus, we assume photonics SOI wafer demand will grow along with rising SiPh PIC demand in optical transceivers and CPO modules.

The reasons why silicon photonics need SOI include:

- Exceptional optical confinement enabled by the refractive index contrast between the layers, where in SOI wafer, the top silicon core has a high refractive index of approximately 3.5, while the underlying buried oxide layers has a significantly lower refractive index of around 1.45. This drastic difference creates a perfect environment for total internal reflection, which act as a "trap" that confines light entirely within the top silicon layer and prevents it from leaking into the substrate.
- Sub-micron optical waveguides: As the light is tightly bound, engineers can design and fabricate incredibly compact photonic components, such as splitters, modulators, and photodetector, directly on a chip. This high integration density is critical because it makes the optical components small enough to be compatible with existing CMOS fabrication lines.

Fig. 17: SOI wafer needed in silicon photonics



A schematic view of a photonic SOI substrate

A tilted scanning electron microscopy view of a silicon waveguide fully etched into the top silicon layer

A cross-sectional SEM image of a twin-waveguide directional coupler etched into the top silicon layer

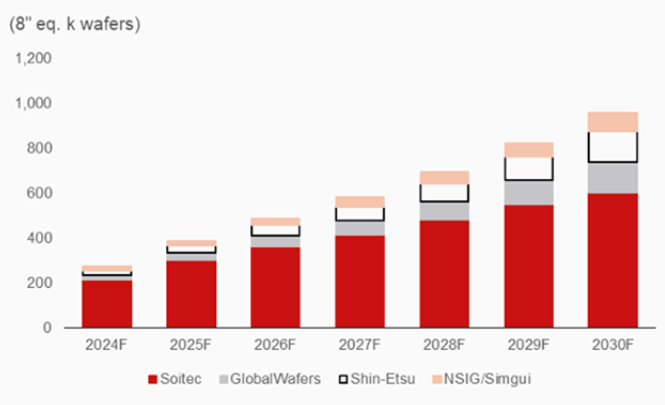
Source: CEA-Leti, Nomura research

We have analyzed the SOI wafer market in our Anchor Report "*Greater China Semi – A Guide to Semi renaissance in 2026-30F*" (published on 21 May 2026). As it is a niche market in terms of the volume shipments, we believe by 2030F, global photonics SOI wafer demand may only contribute a very small portion of total 12" semi wafer demand. However, the dollar content contribution would be much higher, in our view, since the ASP of photonics SOI wafer is 10x higher than that for 12" semi wafer.

Other than non-photonics SOI wafer, the rest of RF, FD and Power-SOI have been suffering from weak smartphone and automotive demand for more than one year already. However, downstream device vendors have been re-stocking those non-photonics SOI wafers since early 2Q26 due to the concern that AI applications will squeeze out the capacity for other applications. As a result, we believe the overall SOI wafer market

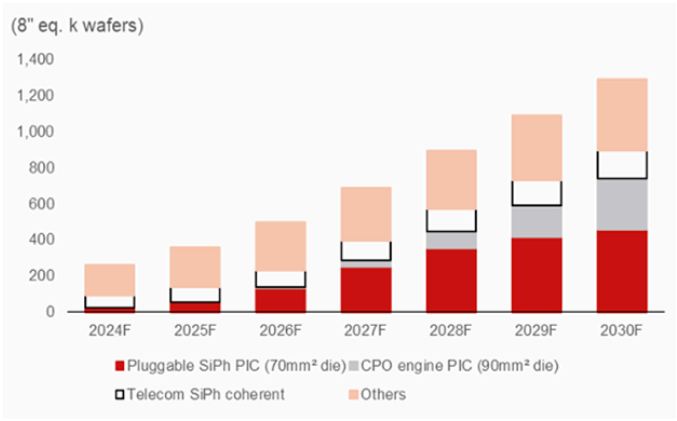
demand may recover faster than the overall wafer market.

Fig. 18: Photonics SOI wafer capacity by supplier



Source: Nomura research

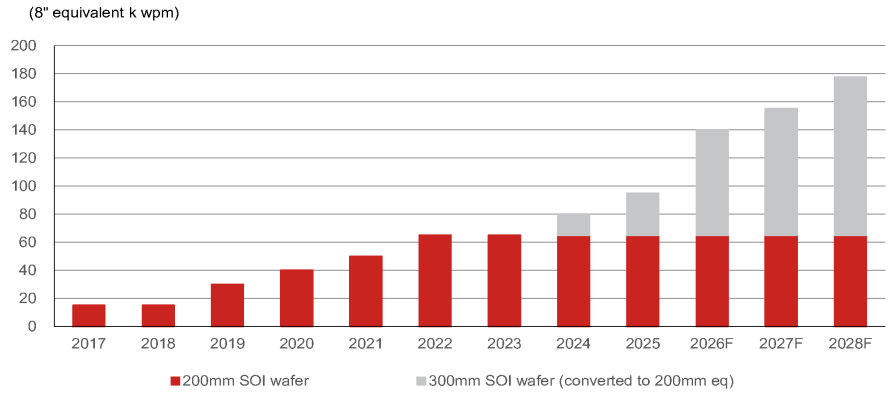
Fig. 19: Photonics SOI wafer demand breakdown



Source: Nomura research

Being the only one with SOI capacity in China, NSIG is poised to embrace this uptrend brought by AI. By 1H26, NSIG had 200mm SOI wafer capacity of 65k wafers per month, and 300mm SOI wafer pilot capacity of 300k wafers annually (~25k wafer per month). Total capacity including pilot line, all converted into 200mm equivalent wafer size, totaled 121k wafers per month, the largest in China.

Fig. 20: NSIG SOI wafer capacity (all in 8-inch equivalent)



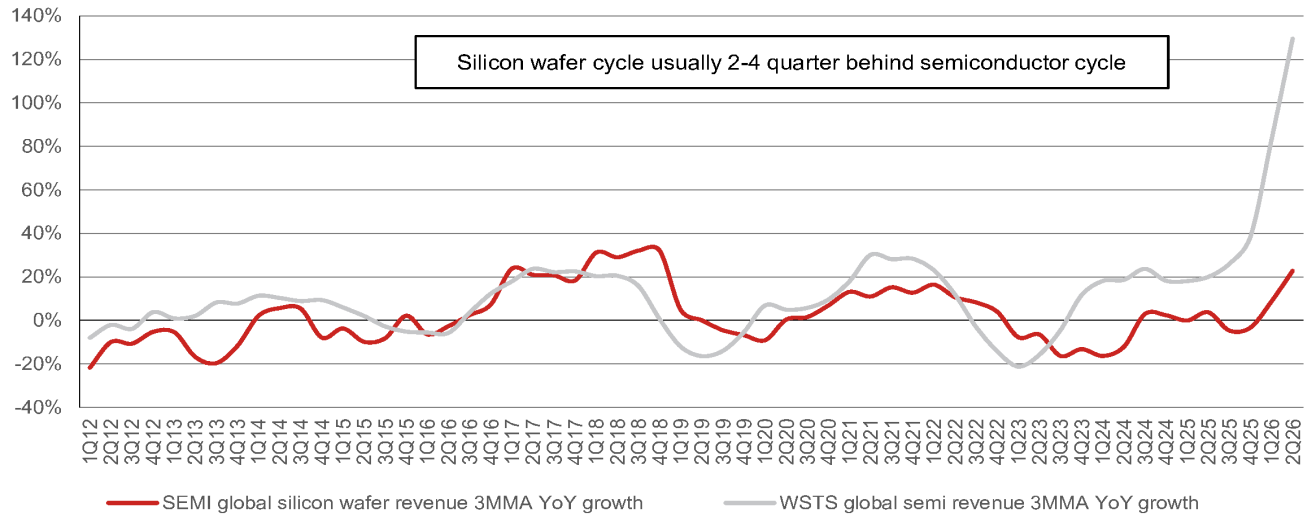
Source: Company data, Nomura estimates

Besides, NSIG's partnership with Soitec (one of the major SOI wafer suppliers globally) is also an advantage. Simgui, under NSIG, is the only Chinese vendor that has a license for Soitec's "Smart Cut" technology, which is a leading technology knowhow in SOI wafer manufacturing. In fact, Soitec only licensed this technology to three players: Shin-Etsu in Japan, GlobalWafers in Taiwan, and Simgui (NSIG).

Silicon wafer industry uptrend started; pricing in recovery

Silicon wafer is the upstream of the semiconductor market. If looking together with the semiconductor cycle, it's easy to find that as an upstream material, the silicon wafer cycle is usually 2 to 4 quarters behind the semiconductor cycle. The reason for this phenomenon would be the following: (1) demand change needs extra time to transmit up along the supply chain due to the time required for action at each layer; (2) fabs and IDMs usually keep a certain level of healthy inventory (1.5 to 3 months) to mitigate some downstream volatility, which smoothens the cycle, (3) some vendors use LTA (long-term agreement) to lock in supply and price for years, which also smoothens the cycle.

Fig. 21: Semiconductor silicon wafer industry cycle vs overall semiconductor market cycle



Source: SEMI, WSTS, Nomura research

The semiconductor upcycle has lasted for over a year, mainly driven by the huge demand brought by AI and HPC related areas, as well as the supply-squeeze effect, which further tightened supply in some other fields. Our channel check indicates that the silicon wafer market just saw pricing bottoming out in 1Q26, and the gradual upward recovery started from 2Q26, which is in line with the typical cycle pattern. The semiconductor cycle is expected to last for years, with industry supply (foundry capacity and fab equipment constraint) expected to remain tight, in our view. In this circumstance, we expect the silicon wafer market to enjoy a prolonged upcycle, starting from early this year.

Industry pricing is already seeing a recovery. The two Japanese giants, Shin-Etsu and SUMCO, along with GlobalWafers have issued two rounds of price increase letters in 2026. The second round, in May, included a 5-8% increase in standard 12-inch wafers and an 18-22% increase for high-end wafers used in AI and HPC applications. GloblalWafers is also proactively communicating with customers in hope to see some more improvement in the 2H26E, with full utilization at 12-inch facilities. The domestic giant, NSIG, commented that price repair has begun and the market is entering an upward channel.

Fig. 22: Pricing comments by global major silicon wafer suppliers

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Total Revenue QoQ										
Shin-Etsu	-5.7%	1.1%	11.8%	-0.8%	-4.8%	-0.5%	4.4%	-1.0%	-1.5%	3.5%
SUMCO	-11.0%	12.1%	-6.1%	1.6%	2.5%	0.4%	-3.7%	6.2%	-3.6%	12.0%
GlobalWafers	-10.0%	1.6%	3.5%	3.0%	-4.6%	2.7%	-9.5%	0.1%	-3.6%	8.8%
Siltronic	-3.7%	2.3%	1.7%	1.0%	-4.1%	-4.8%	-8.8%	23.7%	-17.5%	4.9%
SK Siltron	-1.8%	N/A	N/A	N/A	N/A	12.2%	-0.3%	8.5%	-19.1%	N/A
NSIG	-9.4%	16.6%	7.6%	0.0%	-11.8%	11.7%	5.4%	13.9%	0.8%	13.7%
300mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	LTA flat	N/A	N/A	Spot ↑ (LTA hold)	N/A
SUMCO	Spot ↓	Spot ↓	Mixed	Mixed	LTA stable	Mixed	Mixed	Spot ↓	Spot ↓	Spot ↑
GlobalWafers	Mixed	Mixed	N/A	N/A	N/A	Non-LTA ↓	Spot ↓ (LTA hold)	N/A	Spot ↑	Non-LTA ↑
Siltronic	Low SD ↓	Almost stable	Spot ↓ (LTA hold)	Slightly ↓	↓	↓	Non-LTA ↓	Non-LTA ↓	N/A	Spot ↑ (LTA hold)
SK Siltron	N/A	N/A	N/A	↓	N/A	N/A	↓	N/A	N/A	↑
NSIG	↓	↓	↓	↓	↓	↓	↓	↑	Price bottom	↑
200mm wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	Soft ↓	N/A	↓	N/A	Flat	↑
SUMCO	Spot ↓	Mixed	Spot ↓	Slightly ↓	LTA stable	Spot ↓	↓	Spot ↓	↓	↑
GlobalWafers	Mixed	N/A	N/A	N/A	N/A	↓	↓	N/A	Limited ↑	↑
Siltronic	↓	↓	↓	↓	↓	↓	↓	↓	↓	↓
SK Siltron	N/A	N/A	N/A	↓	N/A	N/A	↓	N/A	N/A	↑
NSIG	↓	↓	↓	↓	↓	Slightly ↑	↓	↓	↓	↓
150mm & lower wafer pricing										
Shin-Etsu	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	Flat	N/A
SUMCO	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
GlobalWafers	N/A	N/A	N/A	N/A	N/A	UTR<70%	↓	Recovering	Tightening	↑
Siltronic	↓	↓	↓	↓	↓	↓	N/A	N/A	Sales drag	Price pressure
SK Siltron	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
NSIG	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

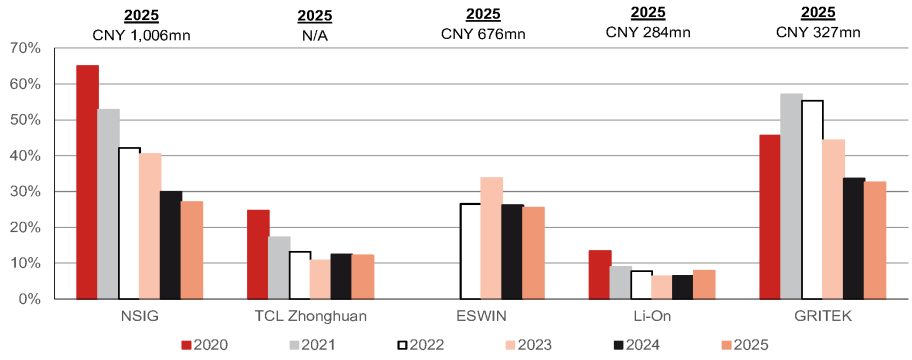
Source: Company data, Nomura research

NSIG, an internationalized Chinese player

About 27% of NSIG's total revenue was from the overseas market, underpinned by the wholly-owned Okmetic facility in Finland and qualifications at TSMC, UMC, STMicroelectronics and Vishay. In 1H26, NSIG qualified a further leading European IDM and secured 300mm prime-wafer orders, which we think will benefit overall margin because prime wafers carry a far higher ASP and margin than test wafers.

Looking at domestic peers, TCL Zhonghuan had over 12% overseas sales, but mainly from photovoltaic related wafers and modules. Xi'an ESWIN and GRITEK (688432 CH, Not rated) had higher overseas sales percentage, but less sales scale.

Fig. 23: Overseas revenue percentage of major Chinese silicon wafer vendors



Source: Company data, Nomura research

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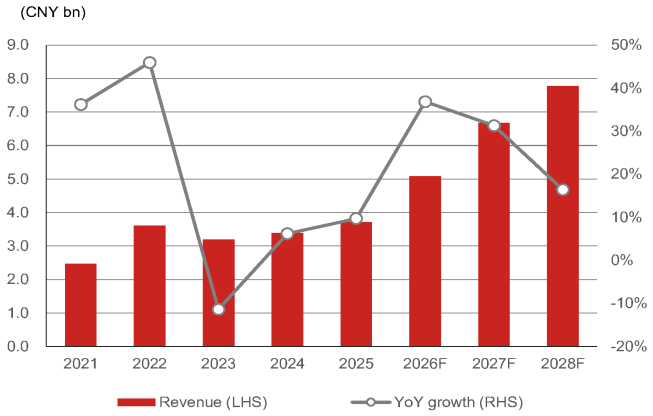
Financial analysis and outlook

Revenue to grow amid market uptrend

NSIG revenue underwent a decline in 2023 due to a decline in both 300mm and 200mm wafer segments. Revenue has been on an uptrend since 2024 mainly helped by 300mm ramp up, from CNY3.2bn in 2023 to CNY3.7bn in 2025, representing an ~8% CAGR. In 1H26, growth accelerated to 36.5% y-y on 300mm volume growth of more than 90% y-y. We forecast NSIG's revenue to record a ~28% CAGR in 2025-28F, driven by: (1) capacity expansion in coming years, (2) favorable pricing trend in the industry, and (3) new products potential including 300 SOI wafer and specialty piezoelectric-on-insulator (POI).

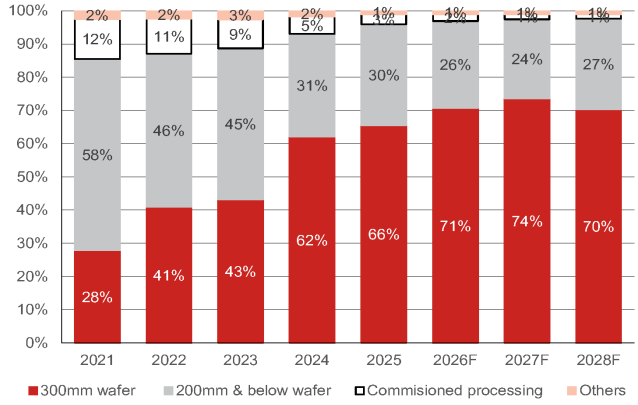
Driven by 300mm capacity ramp up, we believe the 300mm segment will contribute most of the growth. 300mm wafer revenue surpassed 200mm & below in 2024. We expect the 300mm wafer segment revenue to record a ~31% CAGR in 2025-30F, while 200mm & below segment revenue could post a ~23% CAGR in 2025-30F (SOI is faster than regular wafer). The specialty POI segment contributed around ~CNY100mn revenue in 2025 (from subsidiary NSIT, 新硅聚合). We forecast this segment to record a ~50% CAGR over 2025-28F.

Fig. 24: NSIG revenue forecasts



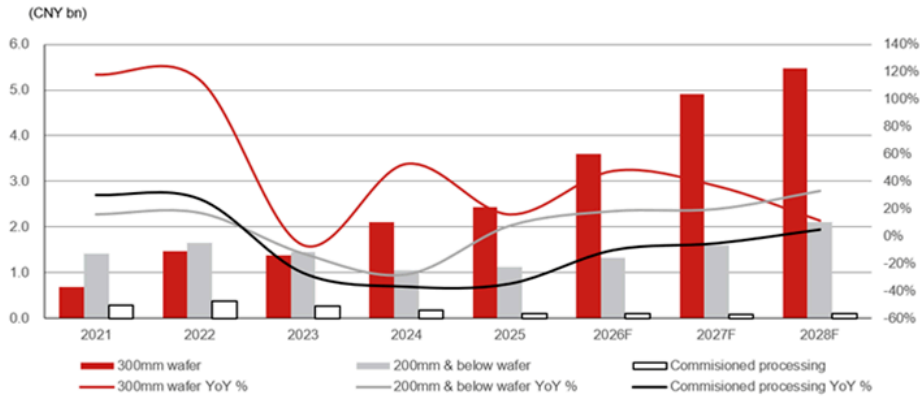
Source: Company data, Nomura estimates

Fig. 25: NSIG revenue breakdown by segment



Source: Company data, Nomura estimates

Fig. 26: NSIG segment revenue and relevant growth rate



Source: Company data, Nomura estimates

Gross margin to turn around in 2027F

NSIG's gross margin went from +16.5% in 2023 to -9.0% in 2024 and -17.06% in 2025, mainly hurt by unfavorable market conditions, where pricing pressure across 200mm and 300mm wafer segments, and also new capacity ramping up caused higher depreciation expenses. We forecast gross margins to recover quarter by quarter this year, and return to gross profit as early as 1Q27F. We expect the gross margin turnaround in 2027F with a GPM of ~8%, and further improvement to ~12% in 2028F.

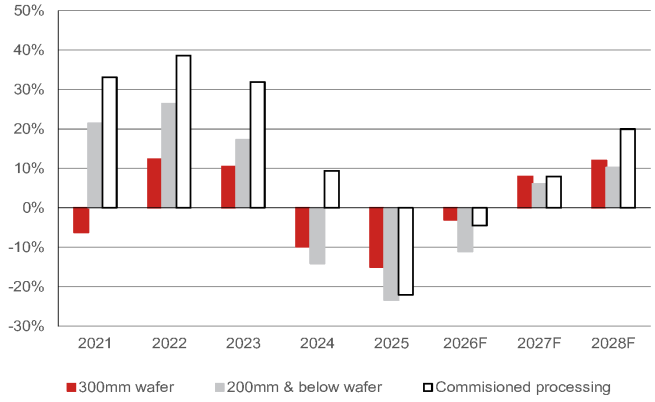
R&D expense has been the largest part of operating expenses since 2024 (administrative expenses used to be the largest portion). NSIG's R&D expense ratio (as percentage of revenue) has been increasing over the years (7.0% in 2023, 7.9% in 2024, 9.5% in 2025; most recently in 1H26 it was 11.2%), mainly due to new product development, capacity upgrades, etc. To maintain its technology strength and expanding market share, we expect NSIG to maintain the R&D expense ratio to around 10-11% level in 2026-28F.

Fig. 27: NSIG gross margin and core operating margin



Source: Company data, Nomura estimates

Fig. 28: NSIG gross margins by segment



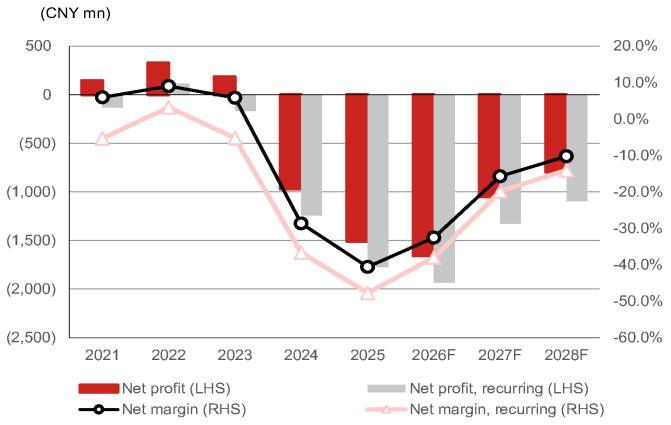
Source: Company data, Nomura estimates

Net profit and EPS

Similar to the whole industry, NSIG has been suffering losses at the net level since 2024, where the industry started the downtrend. Recurring net profit has been lower due to the exclusion of some government subsidies, which were recognized in the P&L. We expect NSIG's net loss to increase a bit as sales increase, but net profit margin to continue narrowing in our forecast period.

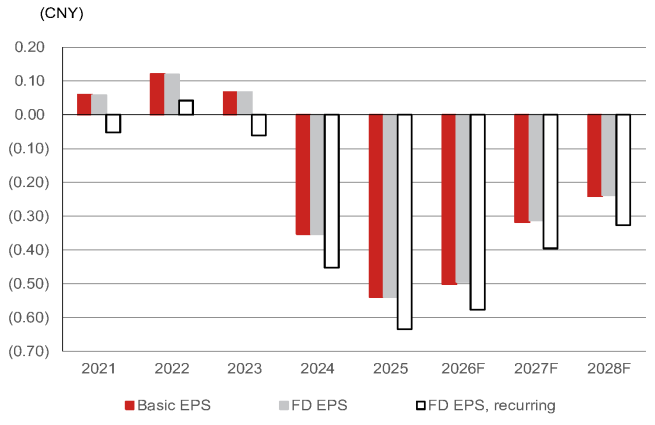
Basic and diluted EPS of NSIG was a loss of CNY0.54 in 2025 (basic and diluted weighted average shares of 2,797mn, no dilution effect).

Fig. 29: NSIG net profit and net margin



Source: Company data, Nomura estimates

Fig. 30: NSIG basic, diluted, and recurring diluted EPS



Source: Company data, Nomura estimates

Our estimates for revenue are largely in line with the Bloomberg consensus, but our forecasts for gross margin are lower than the consensus, as we believe more time is needed for a gross profit turnaround given higher depreciation due to new capacity ramps up. We also expect more R&D expenses as NSIG continues to expand its product coverage (SOI, new materials) and qualify new products.

Fig. 31: Financial forecasts – Nomura versus consensus

(CNY mn)	2026F	2027F	2028F
Revenue - Nomura est	**5,086**	**6,677**	**7,774**
Revenue - consensus	5,220	6,743	7,468
Revenue - diff	*-2.6%*	*-1.0%*	*4.1%*
Gross margin - Nomura est	**-4.4%**	**8.0%**	**11.9%**
Gross margin - consensus	10.5%	13.7%	15.7%
Gross margin - diff	*-14.8%*	*-5.7%*	*-3.8%*
Operating profit (as reported) - Nomura est	**(1,814)**	**(1,237)**	**(951)**
Operating profit (as reported) - consensus	(753)	(198)	111
Operating profit (as reported) - diff	*n.a.*	*n.a.*	*n.a.*
Net profit - Nomura est	**(1,656)**	**(1,049)**	**(796)**
Net profit - consensus	(589)	12	402
Net profit - diff	*n.a.*	*n.a.*	*n.a.*
Net profit, recurring - Nomura est	**(1,934)**	**(1,324)**	**(1,093)**
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	*n.a.*	*n.a.*	*n.a.*

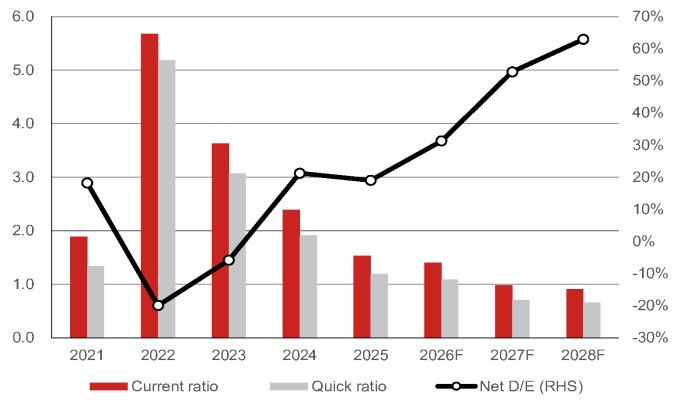
Source: Bloomberg Finance L.P., Nomura estimates

Balance sheet: more funds may needed

NSIG's net debt to equity ratio saw a drastic decline in 2022, coupled with a surge in the current ratio and quick ratio. This was mainly due to the share placement in 2022, which increasedcash and equivalents. With new capacity being built and ramped up, the profit level deteriorated, net debt ratio increased and liquidity decreased. Accroding to its financial statements, the company transferred its other comprehensive income to retained earnings twice (CNY795mn in 2023; CNY651mn in 2024) to keep its retained earnings positive. But retained earnings turned negative in 2025. Our model indicates that if no further funding is raised, the constant negative cash flow (a result of net loss) will continue to drag down the cash level. Therefore, we assume some debt to be raised (both short-term and long-term) to keep the cash level at a relatively healthier level. This is why we estimate the net cash-to-debt ratio increase in 2026-28F. That being said, we believe if bonds are issued, or funds are raised via equity issuance (placement or dual-listing), it would be possible that no debt would be needed.

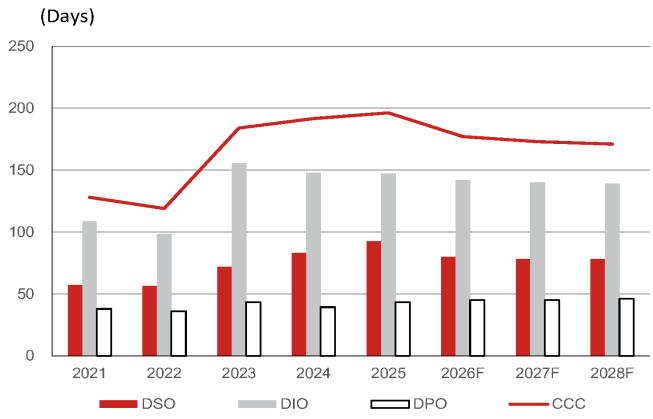
Working capital has been relatively stable, but inventory days (DIO) has been at a high level (over 140 days), resulting in positive and high cash conversion cycle (CCC). This is common in the semiconductor material industry, where the production cycle (from raw materials to final shipment) requires a long time.

Fig. 32: NSIG liquidity and solvency ratios



Source: Company data, Nomura estimates

Fig. 33: NSIG working capital ratios



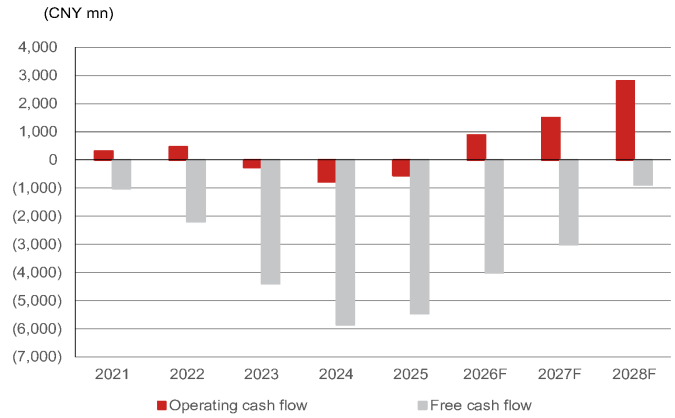
Source: Company data, Nomura estimates

Cash flow: positive operating cash flow from 2026F

Operating cash flow has been negative since 2023, mainly due to decreased profit and increase in working capital days. Despite continuing net loss in our forecast period, depreciation accounts for a large portion of the expense and cost, and cash flow excludes these non-cash items. Therefore, our model indicates positive cash flow from 2026F, and

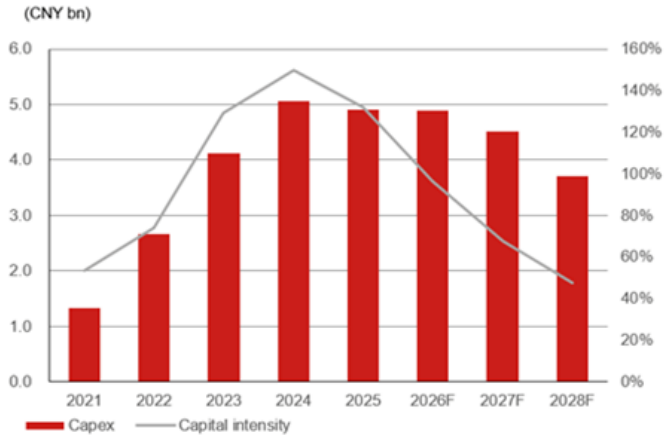
continued improvement. An evidence is that NSIG has already reported positive cash flow in 2Q26 (CNY345mn in 2Q26). Free cash flow also follows a similar pattern. With new capacity gradually completing its ramp up, we expect future capex to decline, and with higher sales capital intensity could drop.

Fig. 34: NSIG operating cash flow and free cash flow



Source: Company data, Nomura estimates

Fig. 35: NSIG capex and capital intensity



Source: Company data, Nomura estimates

NSIG valuation: trading at a premium

Being a manufacturing company, sales and profit are the ones driving valuation. P/E is normally used for these kinds of companies. However, most Chinese silicon wafer vendors, including NSIG, are now reporting losses, making it impossible to value them with P/E. Furthermore, as a dominant player in China, NSIG is now primarily targeting sales growth and market share gain. Therefore, we think a sales-related valuation multiple should be more suitable for its valuation.

Fig. 36: Global semiconductor silicon wafer companies valuation comparison

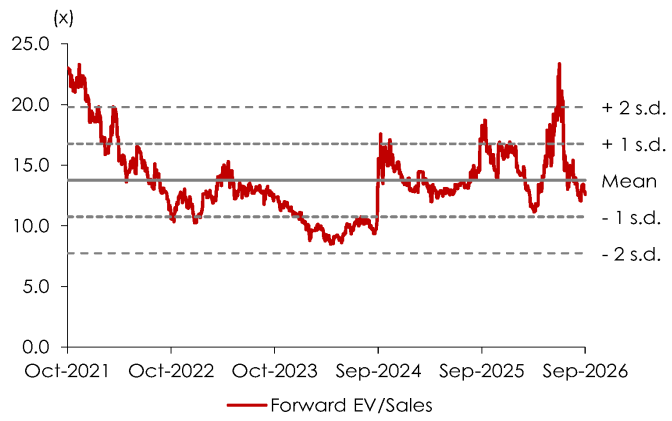
Company	Stock Code	Nomura Rating	Stock Price (local currency)	Market Cap (USD mn)	P/E (x)			P/B (x)			P/S (x)			EV/Sales (x)		
					2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Overseas silicon wafer																
Shin-Etsu	4063 JP	Neutral	5,945.00	75,126	189.9	169.9	151.6	21.9	21.0	20.1	36.1	33.1	30.5	6.1	5.8	5.5
GlobalWafers	6488 TT	Buy	1,035.00	17,158	39.6	26.1	13.0	4.9	4.4	3.5	1.0	1.0	1.2	9.3	6.9	4.9
SUMCO	3436 JP	Buy	3,316.00	7,392	n.a.	46.4	21.4	2.1	2.0	1.9	2.5	2.2	1.9	32.6	27.7	23.7
Soitec	SOI FP	Buy	155.20	6,311	n.a.	96.3	51.9	3.7	3.5	3.3	9.1	8.2	6.9	9.3	8.1	6.6
Formosa	3532 TT	Not rated	471.00	5,734	140.0	35.5	30.7	n.a.	n.a.	n.a.	12.2	10.2	8.0	13.4	11.3	8.9
Siltronic	WAF GR	Not rated	80.05	2,999	n.a.	n.a.	n.a.	1.4	1.6	1.6	2.0	1.7	1.5	2.8	2.4	2.1
Wafer Works	6182 TT	Not rated	133.00	2,611	144.6	65.8	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
RS Technologies	6445 JP	Not rated	1,372.00	148	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Average - overseas silicon wafer					**128.5**	**73.3**	**53.7**	**6.8**	**6.5**	**6.1**	**10.5**	**9.4**	**8.3**	**12.2**	**10.4**	**8.6**
China silicon wafer																
ESWIN	688783 CH	Not rated	26.92	16,212	n.a.	n.a.	1,346.0	9.1	9.3	9.2	31.4	24.5	19.9	32.1	25.0	20.4
NSIG	688126 CH	Buy	23.38	11,525	n.a.	n.a.	n.a.	4.3	4.5	4.7	15.4	11.7	10.1	17.1	13.5	11.8
GRINM	688432 CH	Not rated	47.09	8,782	224.2	181.1	162.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Li-On	605358 CH	Not rated	45.36	5,224	110.6	43.9	24.8	3.7	3.5	3.2	6.9	5.8	4.3	7.6	6.3	4.8
TCL Zhonghuan	002129 CH	Neutral	9.20	5,548	n.a.	163.5	n.a.	1.8	1.8	n.a.	1.3	1.2	n.a.	3.8	2.7	n.a.
Wafer Works Shanghai	688584 CH	Not rated	26.37	2,632	101.4	64.3	47.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Average - China silicon wafer					**145.4**	**113.2**	**395.3**	**4.7**	**4.8**	**5.7**	**13.7**	**10.8**	**11.5**	**15.1**	**11.9**	**12.3**
Compound semi																
Sumimoto Electric	5802 JP	Buy	2,318.00	46,864	20.1	17.6	14.2	2.3	2.2	2.0	1.3	1.2	1.2	1.4	1.3	1.2
Resonac	4004 JP	Buy	14,985.00	18,235	25.8	15.4	12.8	3.5	2.9	2.5	2.5	2.2	2.0	2.9	2.4	2.1
Wolfspeed	WOLF US	Not rated	28.13	1,489	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1.9	1.9	n.a.	2.9	2.8	n.a.
IQE PLC	IQE LN	Not rated	47.55	840	n.a.	n.a.	n.m.	426.5	479.8	432.7	4.9	4.2	3.5	4.9	4.2	3.5
Sanan Optoelectronics	600703 CH	Suspended	11.48	8,542	60.4	n.a.	n.a.	n.a.	n.a.	n.a.	3.1	n.a.	n.a.	3.5	n.a.	n.a.
Yunnan Germanium	002428 CH	Not rated	86.87	8,462	187.6	63.7	33.8	34.7	26.6	19.8	31.5	18.5	16.5	32.2	18.9	16.9
SICC - A	688234 CH	Suspended	104.39	7,166	328.3	115.1	77.0	6.9	6.6	6.3	20.7	15.3	12.4	21.2	15.7	12.8
SICC - H	2631 HK	Not rated	68.00	7,166	102.0	65.3	59.3	3.9	3.7	3.5	20.7	15.3	12.4	21.2	15.7	12.8
InnoScience	2577 HK	Not rated	39.38	4,593	n.a.	117.7	24.9	8.1	7.5	5.5	14.3	7.9	4.9	14.4	7.9	5.0
Unitechem Group	603065 CH	Not rated	14.23	889	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Average - Compound semi					**120.7**	**65.8**	**37.0**	**69.4**	**75.6**	**67.5**	**11.2**	**8.3**	**7.6**	**11.6**	**8.6**	**7.8**

Note: Bloomberg consensus for Not rated companies, Nomura estimates for rated ones. Priced as on 30 Sep 2026 .
Source: Bloomberg Finance L.P., Nomura estimates

We choose EV/sales as our major valuation multiple to value NSIG, mainly considering: (1) industry is now facing profit pressure, making it impossible to derive P/E; (2) Chinese players are now at sales expansion and market-share-driven stages, where sales growth and market share gain are the main focus for them, especially with the localization story.

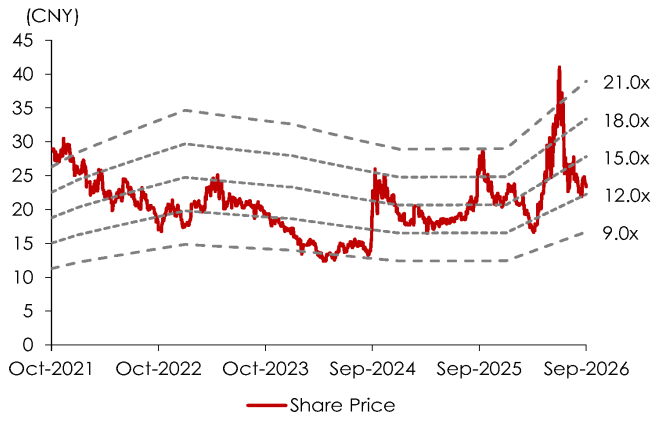
During 2021-YTD26, NSIG largely traded at 8-23x forward EV/sales (average of ~14x), with the highest valuation in 2021, when the chipset shortage story dominated the China A-share market, and almost all semiconductor-related companies traded at their peak levels. Another peak appeared around May-Jun 2026, when the industry leaders sent a clear signal of positive pricing trend.

Fig. 37: NSIG five-year EV/sales trend



Source: Company data, Nomura estimates

Fig. 38: NSIG five-year EV/sales bands



Source: Company data, Nomura estimates

Local comparable peers are limited for NSIG. The most direct comparable is Xi'an ESWIN (688783 CH, Not rated), which is trading at ~26x 2027E EV/sales. Other domestic peers like Li-On (605358 CH, Not rated; mainly focuses 200mm heavy-doped wafers targeting power devices and automotive) and TCL Zhonghuan (002129 CH, Neutral; mainly focuses on solar) are not directly comparable.We believe NSIG deserves a higher-than-current valuation given that: (1) the semiconductor wafer industry is now in an upcycle, which we expect to last for several years; (2) the company's sales growth rate is expected to be higher than the industry; (3) the company has wide product coverage spanning from 200mm to 300mm, and from wafer to SOI; and (4) China's memory and advanced process fab capacity expansion needs more domestic wafer supply to support production. Therefore, we select 20.0x forward EV/sales as our target multiple, which is around 2SD above its historical average. NSIG traded at an average EV/sales of 15.0x in the industry downcycle, and hence, we think 20.0x in the industry upcycle is fair.

We resume coverage on NSIG with a Buy rating. Our target price of CNY36.20 is based on a target multiple of 20.0x forward EV/sales, and our revenue forecast of CNY6.7bn in 2027F.

Fig. 39: NSIG – Valuation and target price

Valuation table		
Target EV/sales	**20.0 x**	We use 20.0x EV/sales as our target multiple, based on: (1) semiconductor wafer industry is now in an upcycle, which we expect to last for several years, creating re-rating potentials; (2) we forecast NSIG's sales revenue to outperform the industry growth; (3) NSIG's wide product coverage and strong customer relations; (4) pricing and profitability recovery to drive re-rating ahead
Valuation base	2027F	
Revenue in 2027F (CNY mn)	6,677	
Enterprise value (CNY mn)	133,349	
Nebt debt in 2027F (CNY mn)	9,024	
Minority in 2027F (CNY mn)	3,080	
Equity value (CNY mn)	121,246	
Wtd avg diluted shares in 2027F (mn)	3,352	
Target price (CNY)	**36.20**	

Source: Nomura estimates

Financial statements

Fig. 40: NSIG – Income statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	**3,190**	**3,388**	**3,716**	**5,086**	**6,677**	**7,774**	**1,084**	**1,233**	**1,312**	**1,457**
COGS	(2,665)	(3,692)	(4,350)	(5,309)	(6,144)	(6,850)	(1,212)	(1,298)	(1,335)	(1,464)
Gross profit	**525**	**(304)**	**(634)**	**(223)**	**533**	**924**	**(128)**	**(65)**	**(23)**	**(7)**
Opex	(595)	(659)	(769)	(1,115)	(1,426)	(1,615)	(253)	(236)	(296)	(329)
Taxes and surcharges	(14)	(18)	(28)	(41)	(47)	(54)	(7)	(14)	(9)	(10)
S&M expense	(80)	(70)	(77)	(103)	(134)	(154)	(22)	(21)	(28)	(31)
Admin expense	(279)	(304)	(310)	(392)	(511)	(591)	(82)	(85)	(107)	(118)
R&D expense	(222)	(267)	(354)	(580)	(735)	(816)	(143)	(116)	(152)	(169)
Operating profit (core)	**(70)**	**(963)**	**(1,403)**	**(1,338)**	**(892)**	**(691)**	**(382)**	**(301)**	**(319)**	**(336)**
Finance cost	1	(110)	(101)	(320)	(310)	(300)	(101)	(77)	(71)	(71)
Investment income	(2)	3	(1)	1	2	2	-	(1)	1	1
Impairment loss	(100)	(426)	(690)	(442)	(372)	(332)	(134)	(118)	(95)	(95)
Other gains	349	333	308	285	335	370	51	55	90	90
Operating profit (as reported)	179	(1,163)	(1,886)	(1,814)	(1,237)	(951)	(566)	(442)	(395)	(411)
Non-operating items	(1)	(1)	(3)	(5)	-	-	(10)	2	1	1
Pretax income	**178**	**(1,164)**	**(1,889)**	**(1,819)**	**(1,237)**	**(951)**	**(576)**	**(440)**	**(393)**	**(410)**
Income tax	(17)	43	79	73	124	95	48	(61)	42	44
Minority interests	26	151	302	90	65	60	45	19	13	13
Net profit (attr. to SH)	**187**	**(971)**	**(1,508)**	**(1,656)**	**(1,049)**	**(796)**	**(483)**	**(482)**	**(338)**	**(353)**
Basic EPS (CNY)	0.07	(0.35)	(0.54)	(0.50)	(0.32)	(0.24)	(0.15)	(0.15)	(0.10)	(0.11)
Diluted EPS (CNY)	**0.07**	**(0.35)**	**(0.54)**	**(0.49)**	**(0.31)**	**(0.24)**	**(0.15)**	**(0.15)**	**(0.10)**	**(0.10)**
Recurring net profit (attr. to SH)	**(166)**	**(1,243)**	**(1,774)**	**(1,934)**	**(1,324)**	**(1,093)**	**(524)**	**(433)**	**(421)**	**(556)**
Recurring FD EPS (CNY)	**(0.06)**	**(0.45)**	**(0.63)**	**(0.58)**	**(0.40)**	**(0.33)**	**(0.16)**	**(0.13)**	**(0.12)**	**(0.16)**
YoY Growth (%)										
Revenue	*(11.4)*	*6.2*	*9.7*	*36.9*	*31.3*	*16.4*	*35.2*	*37.7*	*39.0*	*35.5*
Gross profit	*(35.8)*	*N/A*	*N/A*	*N/A*	*N/A*	*73.2*	*N/A*	*N/A*	*N/A*	*N/A*
Operating profit (core)	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*
Net profit (attr. to SH)	*(42.6)*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*
Diluted EPS	*(42.9)*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*
Recurring net profit (attr. to SH)	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*
Recurring FD EPS	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*
Margins (%)										
Gross margin	16.5	(9.0)	(17.1)	(4.4)	8.0	11.9	(11.8)	(5.3)	(1.8)	(0.5)
Opex	18.6	19.4	20.7	21.9	21.4	20.8	23.4	19.1	22.6	22.6
Operating margin (core)	(2.2)	(28.4)	(37.7)	(26.3)	(13.4)	(8.9)	(35.2)	(24.4)	(24.3)	(23.0)
Pretax margin	5.6	(34.4)	(50.8)	(35.8)	(18.5)	(12.2)	(53.1)	(35.7)	(30.0)	(28.1)
Net margin	5.8	(28.6)	(40.6)	(32.6)	(15.7)	(10.2)	(44.6)	(39.1)	(25.8)	(24.2)
Recurring net margin	(5.2)	(36.7)	(47.7)	(38.0)	(19.8)	(14.1)	(48.4)	(35.1)	(32.1)	(38.1)
Segment revenue										
300mm wafer	**1,379**	**2,106**	**2,439**	**3,600**	**4,916**	**5,472**				
YoY Growth (%)	*(6.6)*	*52.8*	*15.8*	*47.6*	*36.6*	*11.3*				
Percentage of total (%)	43	62	66	71	74	70				
200mm & below wafer	**1,452**	**1,047**	**1,125**	**1,329**	**1,590**	**2,112**				
YoY Growth (%)	*(12.6)*	*(27.9)*	*7.5*	*18.1*	*19.6*	*32.8*				
Percentage of total (%)	45	31	30	26	24	27				
Commisioned processing	**278**	**176**	**115**	**104**	**99**	**103**				
YoY Growth (%)	*(26.6)*	*(36.7)*	*(34.5)*	*(10.0)*	*(5.0)*	*5.0*				
Percentage of total (%)	9	5	3	2	1	1				
Segment gross margin (%)										
300mm wafer	10.5	(9.8)	(15.0)	(3.0)	8.0	12.0				
20mm & below wafer	17.2	(14.1)	(23.4)	(11.1)	6.1	10.2				
Commisioned processing	31.9	9.4	(22.0)	(4.5)	8.0	20.0				

Source: Company data, Nomura estimates

Fig. 41: NSIG – Balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	5,180	2,700	3,553	3,352	2,279	2,778
Restricted cash	2,121	2,455	2,521	2,395	2,156	1,725
Financial assets - ST	416	226	160	169	177	186
Notes receivable	17	8	6	6	7	8
Account receivable	568	975	906	1,323	1,531	1,792
Prepayment	163	251	344	228	228	228
Other receivables	52	14	26	28	29	31
Inventory	1,449	1,542	1,966	2,165	2,549	2,669
Other current assets	541	899	861	861	861	861
Current assets	**10,508**	**9,070**	**10,344**	**10,527**	**9,816**	**10,277**
Financial assets - LT	3,698	1,373	403	1,359	1,359	1,359
Equity method investment	754	902	1,101	1,086	1,096	1,116
PP&E - net	7,039	9,245	14,069	17,168	19,611	21,174
Construction in progress	4,350	6,377	5,328	5,168	4,898	4,309
Right-of-use assets	91	79	117	131	144	156
Intangible assets	566	555	656	807	898	970
L/T Accrued expenses	7	3	1	1	2	2
Deferred tax asset	3	32	88	105	116	127
Other non-current assets	2,017	1,633	1,680	1,680	1,680	1,680
Total non-current assets	**18,524**	**20,200**	**23,442**	**27,505**	**29,803**	**30,893**
Total assets	**29,032**	**29,270**	**33,787**	**38,032**	**39,619**	**41,170**
S/T Borrowing	325	521	1,265	1,518	3,795	4,554
Notes payables	-	100	132	198	297	446
Account payables	321	474	557	752	763	964
Contract liabilities	221	93	7	7	7	7
Non-current liabilities within 1 year	797	1,083	1,927	1,927	1,927	1,927
Other current liabilities	1,231	1,533	2,874	3,108	3,252	3,404
Total current liabilities	**2,894**	**3,803**	**6,763**	**7,510**	**10,042**	**11,302**
L/T Borrowing	2,638	2,956	4,009	4,810	4,810	5,772
Lease liabilities	70	59	95	100	105	110
Deferred income	1,430	1,271	1,158	1,508	1,659	1,825
Deferred tax liabilities	152	127	91	109	120	132
Other non-current liabilities	1,342	1,852	1,512	2,714	2,716	2,718
Total non-current liabilities	**5,632**	**6,265**	**6,865**	**9,242**	**9,410**	**10,557**
Total liabilities	**8,526**	**10,068**	**13,627**	**16,751**	**19,452**	**21,859**
Share capital	2,747	2,747	3,305	3,305	3,305	3,305
Capital reserve	7,024	7,029	13,306	15,365	15,365	15,365
Statutory reserves	13	20	20	20	20	20
Retained earnings	1,702	1,265	(242)	(1,898)	(2,947)	(3,743)
Other capital adjustments	3,629	1,238	536	1,345	1,345	1,345
Equity attributable to Company	**15,114**	**12,299**	**16,925**	**18,136**	**17,088**	**16,291**
Minority interests	5,391	6,902	3,235	3,145	3,080	3,020
Total equity	**20,505**	**19,201**	**20,159**	**21,281**	**20,167**	**19,311**
Total equity and liabilities	**29,032**	**29,270**	**33,787**	**38,032**	**39,619**	**41,170**

Source: Company data, Nomura estimates

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Fig. 42: NSIG – Cash flow statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	**178**	**(1,164)**	**(1,889)**	**(1,819)**	**(1,237)**	**(951)**
Provision for impairment loss	100	426	690	-	-	-
D&A expenses	**731**	**964**	**1,332**	**1,842**	**2,287**	**2,698**
Depreciation of PP&E	645	879	1,254	1,747	2,178	2,576
Depreciation of Right-of-use assets	26	26	28	35	39	43
Amortization of Intangible assets	57	54	47	58	68	78
Amortization of L/T Accrued expenses	3	4	2	2	2	2
Fair value change gains	(143)	12	(50)	(20)	(25)	(30)
Finance cost	34	143	196	320	310	300
Investment income (excl. JV/asso.)	2	(3)	1	(1)	(2)	(2)
Share of JV and associate	(11)	(145)	(33)	15	(10)	(20)
Deferred tax asset - decrease	(1)	(29)	(55)	(18)	(11)	(12)
Deferred tax liabilities - increase	5	(22)	(31)	18	11	12
Inventory - decrease	(705)	(204)	(664)	(199)	(384)	(120)
Account receivables - decrease	(384)	(821)	(76)	(418)	(208)	(262)
Account payables - increase	115	188	(60)	195	11	201
Tax paid	(13)	(8)	(7)	73	124	95
Others	(179)	(124)	88	890	633	896
Net cash flows from operating activities	**(275)**	**(788)**	**(559)**	**880**	**1,498**	**2,805**
Capex - total	**(4,126)**	**(5,069)**	**(4,909)**	**(4,897)**	**(4,512)**	**(3,702)**
investments related - net	1,845	930	133	(958)	29	43
Acquisition & invest in JV/asso. - net	-	-	(324)	15	(10)	(20)
Disposal of assets	0	0	16	-	-	-
Others	9	23	10	(50)	(52)	(55)
Net cash flows from Investing activities	**(2,272)**	**(4,116)**	**(5,074)**	**(5,890)**	**(4,545)**	**(3,734)**
Share issuance	54	-	2,092	2,059	-	-
Capital injection of MI	148	1,683	1,706	-	-	-
Debt raised (repaid)	1,057	806	2,288	1,055	2,277	1,721
Bond issuance	1,338	500	1,000	1,200	-	-
Interest paid	(105)	(179)	(224)	-	-	-
Dividend paid	-	(110)	-	-	-	-
Others	(29)	(261)	(390)	496	(303)	(293)
Net cash flows from financing activities	**2,462**	**2,440**	**6,472**	**4,809**	**1,974**	**1,428**
Net cash flows	**(84)**	**(2,464)**	**839**	**(200)**	**(1,073)**	**499**
Effect of FX	22	(16)	13	-	-	-
Cash and cash equivalents - beg	5,243	5,180	2,700	3,553	3,352	2,279
Cash and cash equivalents - end	**5,180**	**2,700**	**3,553**	**3,352**	**2,279**	**2,778**
Free cash flow (FCF)	**(4,401)**	**(5,857)**	**(5,468)**	**(4,017)**	**(3,014)**	**(897)**

Source: Company data, Nomura estimates

Key risks

Price recovery fails to materialize (highest impact): If the May 2026 increases do not translate into 2027 contracts, or the pricing situation is reversed, it would not only impact NSIG's sales outlook and profitability, but also impact the industry outlook and market sentiment.

Overcapacity concerns: Current domestic capacity utilization is quite diverse, where high-end products are in severe shortage, while low-end ones are in oversupply and suffering from underutilization. This may introduce intensified price competition and pressure margins.

Prime-wafer qualification slips: The prime-versus-test wafer mix is one important swing factor in ASP. Slower-than-expected prime qualification (at Taiyuan or Shanghai) would keep ASP well below market prices even if market prices rise.

Inventory write-downs: This likely happens when the industry pricing condition gets worse, and could directly impact NSIG's profitability.

Demand shock: A global recession or a pause in AI datacenter capex would hit advanced-node and HBM wafer demand, which would accordingly impact demand for wafers.

Geopolitics: Export-control escalation affecting equipment, materials or poly-silicon supply could delay the ramp-up. Furthermore, restrictions on sales to overseas customers could also impact NSIG's sales outlook and overseas market exposure.

Valuation: NSIG is trading at a premium to domestic peers, which we believe has been supported by its strong technology capabilities and market share, wide product coverage, and deep customer relations. Failure to keep the above-mentioned edge and advantages may result in de-rating for its valuation.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
National Silicon Industry Group	688126 CH	CNY 23.38	30-Sep-2026	Buy	N/A	

National Silicon Industry Group (688126 CH) **CNY 23.38 (30-Sep-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
07-Oct-26	Buy		23.38
07-Oct-26		36.20	23.38

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY36.20 is based on 20.0x forward EV/Sales multiple, and our 2027F revenue forecasts. The target multiple is around 2SD above its historical average; the stock had traded at an avg. of 15.0x in the industry downcycle, and we think 20.0x in the industry upcycle is fair. The reason for choosing EV/Sales include: (1) Chinese semi wafer vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referrable. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) price recovery fails to materialize; (2) demand weaker-than-expected from AI spending concerns; (3) slower-than-expected qualification and capacity ramp up; (4) intensified competition from domestic peers, especially for mid-to-low-end products; (5) geopolitical uncertainties impact its overseas sales and customer relations.

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